

MANAGEMENT'S DISCUSSION AND ANALYSIS

AS AT AND FOR THE PERIOD ENDED APRIL 30, 2026

This Management's Discussion and Analysis (MD&A) presents management's view of the financial condition of Laurentian Bank of Canada (the Bank and/or Laurentian Bank) as at April 30, 2026 and its operating results for the three-month and six-month periods then ended, compared with the corresponding periods shown. This MD&A should be read in conjunction with the Condensed Interim Consolidated Financial Statements. This MD&A is dated as of May 28, 2026.

Additional information about the Bank, including the 2025 Annual Information Form, is available on the Bank's website at www.laurentianbank.ca and on the Canadian Securities Administrators' national system SEDAR+ at www.sedarplus.ca.

BASIS OF PRESENTATION

The financial information reported herein is based on the Condensed Interim Consolidated Financial Statements as at and for the period ended April 30, 2026, and, unless otherwise indicated, has been prepared in accordance with IFRS Accounting Standards, as issued by the International Accounting Standards Board (IASB), as well as in accordance with IAS 34, *Interim Financial Reporting*. All amounts are presented in Canadian dollars.

Assets held for sale and liabilities directly associated with assets held for sale

Assets and liabilities related to the National Bank Transactions (as defined below) meet the criteria, as at December 2, 2025, for classification as a disposal group held for sale in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*; refer to Notes 1.1, 2 and 9 to the Condensed Interim Consolidated Financial Statements for additional information. Accordingly, these assets and liabilities are presented as separate line items on the Bank's Consolidated Balance Sheet as at April 30, 2026 (not applicable as at October 31, 2025).

ABOUT LAURENTIAN BANK OF CANADA

Founded in Montreal in 1846, Laurentian Bank is committed to serving its customers and fostering deep relationships with specialized groups. Laurentian Bank runs operations across Canada – primarily in Québec and Ontario – as well as in the United States and competes where it sees market opportunity and has an edge, while harnessing the power of partnerships and collaboration.

CAUTION REGARDING FORWARD-LOOKING STATEMENTS

From time to time, Laurentian Bank of Canada and, as applicable its subsidiaries (collectively referred to as the Bank) will make written or oral forward-looking statements within the meaning of applicable Canadian and United States (U.S.) securities legislation, including, forward-looking statements contained in this document (and in the documents incorporated by reference herein), as well as in other documents filed with Canadian and U.S. regulatory authorities, in reports to shareholders, and in other written or oral communications. These forward-looking statements are made in accordance with the "safe harbor" provisions, and are intended to be forward-looking statements in accordance with, applicable Canadian and U.S. securities legislation. They include, but are not limited to; statements regarding the Bank's vision, strategic goals, business plans and strategies, priorities and financial performance objectives; the economic, market, and regulatory review and outlook for Canadian, U.S. and global economies; the regulatory environment in which the Bank operates; the risk environment, including, credit risk, liquidity, and funding risks, and legal and regulatory risk; statements under the heading "Risk Appetite and Risk Management Framework" contained in the 2025 Annual Report, including, the MD&A for the fiscal year ended October 31, 2025; and other statements that are not historical facts.

Forward-looking statements typically are identified with words or phrases such as "believe", "assume", "estimate", "forecast", "outlook", "project", "vision", "expect", "foresee", "anticipate", "intend", "plan", "goal", "aim", "target", and expressions of future or conditional verbs such as "may", "should", "could", "would", "will", "intend" or the negative of any of these terms, variations thereof or similar terminology.

By their very nature, forward-looking statements require the Bank to make assumptions and are subject to inherent risks and uncertainties, both general and specific in nature, which give rise to the possibility that the Bank's predictions, forecasts, projections, expectations, or conclusions may prove to be inaccurate; that the Bank's assumptions may be incorrect (in whole or in part); and that the Bank's financial performance objectives, visions, and strategic goals may not be achieved. Forward-looking statements should not be read as guarantees of future performance or results, or indications of whether or not actual results will be achieved. Material economic assumptions underlying such forward-looking statements are set out in the 2025 Annual Report under the heading "Outlook", which assumptions are incorporated by reference herein.

Specifically, statements regarding the anticipated benefits of the Acquisition Transaction (as defined below) and the National Bank Transactions (as defined below) (collectively, in this section only, the “Transactions”) for Laurentian Bank, Laurentian Bank Shareholders (as defined below), other Laurentian Bank stakeholders, Fairstone Bank (as defined below), and National Bank (as defined below), including, but not limited to: plans, objectives, expectations and intentions of Laurentian Bank, Fairstone Bank or National Bank; the satisfaction of the conditions precedent to the Transactions; the proposed timing and completion of the Transactions; the closing of the Transactions and the delisting from the TSX; and other statements that are not statements of historical facts are all considered to be forward-looking statements.

The Bank cautions readers against placing undue reliance on forward-looking statements, as a number of factors, many of which are beyond the Bank’s control and the effects of which can be difficult to predict or measure, could influence, individually or collectively, the accuracy of the forward-looking statements and cause the Bank’s actual future results to differ significantly from the targets, expectations, estimates or intentions expressed in the forward-looking statements. These factors include, but are not limited to general and market economic conditions; inflationary pressures; the dynamic nature of the financial services industry in Canada, the United States, and globally; the risk that the Transactions will not be completed on the terms and conditions, or on the timing, currently contemplated; that the Transactions may not be completed at all, due to a failure to obtain or satisfy, in a timely manner or otherwise, required regulatory approvals and other conditions to the closing of the Transactions or for other reasons; the risk that competing offers or acquisition proposals will be made; the negative impact that the failure to complete the Transactions, for any reason, could have on the price of the Laurentian Bank Shares or on the business of Laurentian Bank; the possibility of adverse reactions or changes in business relationships resulting from the announcement or completion of the Transactions; risks relating to Laurentian Bank’s ability to retain and attract key personnel during and following the interim period; the possibility of litigation relating to the Transactions; credit, market, currency, operational, liquidity and funding risks generally and relating specifically to the Transactions, including changes in economic conditions, interest rates or tax rates; and those other risks discussed in greater detail under the “Other Risks That May Affect Future Results” section of Laurentian Bank’s 2025 Annual Report; risks relating to credit, market, liquidity, funding, insurance, operational and regulatory compliance (which has resulted in, or which could lead to, the Bank being subject to various legal and regulatory proceedings, the potential outcome of which could include regulatory restrictions, and orders to pay damages, penalties, and fines); reputational risks; exposure to, and resolution of, significant litigation or regulatory matters, the appeal of favourable outcomes and our ability to successfully appeal adverse outcome of such matters, and the timing, determination and recovery of amounts related to such matters; competitive and systemic risks; supply chain disruptions; geopolitical events and uncertainties; government sanctions and tariffs (both domestic and foreign); conflict, war, or terrorism; and various other significant risks discussed in the risk-related portions of the Bank’s 2025 Annual Report, such as those related to: Canadian and global economic conditions; Canadian housing and household indebtedness; technology, information systems and cybersecurity; technological disruption, privacy, data and third party related risks; competition; the Bank’s ability to execute on its strategic objectives; digital disruption and innovation (including, emerging fintech competitors); changes in government fiscal, monetary and other policies; tax risk and transparency; fraud and criminal activity; human capital; business continuity; emergence of widespread health emergencies or public health crises; environmental and social risks including, climate change; and various other significant risks, as described in the relevant pages of the 2025 Annual Report, including the MD&A, which information is incorporated by reference herein. The Bank further cautions that the foregoing list of factors is not exhaustive. When relying on the Bank’s forward-looking statements to make decisions involving the Bank, investors, financial analysts, and others should carefully consider the foregoing factors, uncertainties, and current and potential events.

Any forward-looking statements contained herein or incorporated by reference represent the views of management of the Bank only as at the date such statements were or are made, are presented for the purposes of assisting investors, financial analysts, and others in understanding certain key elements of the Bank’s financial position, current objectives, strategic priorities, expectations and plans, and in obtaining a better understanding of the Bank’s business and anticipated financial performance and operating environment and may not be appropriate for other purposes. The Bank does not undertake any obligation to update any forward-looking statements made by the Bank or on its behalf whether as a result of new information, future events or otherwise, except to the extent required by applicable securities legislation. Additional information relating to the Bank can be located on SEDAR+ at www.sedarplus.ca.

HIGHLIGHTS

TABLE 1
FINANCIAL HIGHLIGHTS

In thousands of dollars, except when noted	For the three months ended					For the six months ended		
	April 30, 2026	January 31, 2026	Variance	April 30, 2025	Variance	April 30, 2026	April 30, 2025	Variance
Operating results								
Total revenue	\$ 213,655	\$ 251,555	(15)%	\$ 242,516	(12)%	\$ 465,210	\$ 492,153	(5)%
Net income (loss)	\$ (20,587)	\$ (20,497)	n.m.	\$ 32,329	n.m.	\$ (41,084)	\$ 70,930	n.m.
Adjusted net income ⁽¹⁾	\$ 22,640	\$ 34,237	(34)%	\$ 33,962	(33)%	\$ 56,877	\$ 73,410	(23)%
Operating performance								
Diluted earnings (loss) per share ⁽²⁾	\$ (0.50)	\$ (0.58)	(14)%	\$ 0.69	n.m.	\$ (1.08)	\$ 1.44	n.m.
Adjusted diluted earnings per share ⁽²⁾⁽³⁾	\$ 0.46	\$ 0.65	(29)%	\$ 0.73	(37)%	\$ 1.11	\$ 1.50	(26)%
Return on common shareholders' equity ⁽³⁾	(3.7)%	(4.0)%		4.9 %		(3.9)%	5.1 %	
Adjusted return on common shareholders' equity ⁽³⁾	3.4 %	4.5 %		5.2 %		4.0 %	5.3 %	
Net interest margin ⁽⁴⁾	1.84 %	1.89 %		1.85 %		1.86 %	1.85 %	
Efficiency ratio ⁽⁴⁾	102.7 %	106.3 %		76.1 %		104.7 %	75.5 %	
Adjusted efficiency ratio ⁽³⁾	77.6 %	76.7 %		75.2 %		77.1 %	74.8 %	
Operating leverage ⁽⁴⁾	2.8 %	(38.8)%		(1.5)%		(36.5)%	32.7 %	
Adjusted operating leverage ⁽³⁾	(1.1)%	(1.4)%		(1.1)%		(3.1)%	(1.8)%	
Financial position (\$ millions)								
Loans	\$ 31,993	\$ 31,714	1 %	\$ 35,645	(10)%	\$ 31,993	\$ 35,645	(10)%
Total loans ⁽¹⁾⁽⁵⁾	\$ 35,863	\$ 36,411	(2)%	\$ 35,645	1 %	\$ 35,863	\$ 35,645	(1)%
Total assets	\$ 49,436	\$ 49,912	(1)%	\$ 49,518	— %	\$ 49,436	\$ 49,518	— %
Deposits	\$ 16,768	\$ 16,514	2 %	\$ 23,874	(30)%	\$ 16,768	\$ 23,874	(30)%
Total deposits ⁽¹⁾⁽⁶⁾	\$ 24,418	\$ 24,292	1 %	\$ 23,874	2 %	\$ 24,418	\$ 23,874	(2)%
Average earning assets ⁽⁴⁾⁽⁵⁾	\$ 41,292	\$ 40,909	1 %	\$ 40,290	2 %	\$ 41,097	\$ 40,061	3 %
Average loans ⁽⁴⁾⁽⁵⁾	\$ 36,023	\$ 36,179	— %	\$ 35,504	1 %	\$ 36,102	\$ 35,361	2 %
Basel III regulatory capital ratios								
CET1 capital ratio ⁽⁷⁾	11.0 %	10.9 %		11.0 %		11.0 %	11.0 %	
Total risk-weighted assets (\$ millions) ⁽⁷⁾	\$ 20,642	\$ 21,089		\$ 20,944		\$ 20,642	\$ 20,944	
Credit quality								
Gross impaired loans as a % of total loans ⁽¹⁾⁽⁵⁾	1.00 %	0.96 %		1.15 %		1.12 %	1.15 %	
Net impaired loans as a % of total loans ⁽¹⁾⁽⁵⁾	0.81 %	0.75 %		0.94 %		0.90 %	0.94 %	
Provision for credit losses as a % of average loans ⁽⁴⁾⁽⁵⁾	0.31 %	0.18 %		0.19 %		0.24 %	0.18 %	
Common share information								
Closing share price ⁽⁸⁾	\$ 40.27	\$ 40.00	1 %	\$ 27.36	47 %	\$ 40.27	\$ 27.36	47 %
Price / earnings ratio (trailing four quarters) ⁽⁴⁾	n.m.	n.m.		9.1 x		n.m.	9.1 x	
Adjusted price / earnings ratio (trailing four quarters) ⁽³⁾	15.4 x	13.9 x		8.4 x		15.4 x	8.4 x	
Book value per share ⁽³⁾	\$ 55.38	\$ 56.46	(2)%	\$ 57.40	(4)%	\$ 55.38	\$ 57.40	(4)%
Dividends declared per share	\$ 0.47	\$ 0.47	— %	\$ 0.47	— %	\$ 0.94	\$ 0.94	— %
Dividend yield ⁽⁴⁾	4.7 %	4.7 %		6.9 %		4.7 %	6.9 %	
Dividend payout ratio ⁽⁴⁾	n.m.	n.m.		68.2 %		n.m.	65.0 %	
Adjusted dividend payout ratio ⁽³⁾	101.7 %	72.5 %		64.7 %		84.6 %	62.5 %	

(1) This is a non-GAAP financial measure. Refer to the Non-GAAP Financial and Other Measures section beginning on page 5 for additional information.

(2) The sum of the quarterly earnings per share may not be equal to the cumulative earnings per share due to rounding.

(3) This is a non-GAAP ratio. Refer to the Non-GAAP Financial and Other Measures section beginning on page 5 for additional information.

(4) This is a supplementary financial measure. Refer to the Non-GAAP Financial and Other Measures section beginning on page 5 for additional information.

(5) Amounts reported include loans classified as held for sale in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operation* on the Bank's Consolidated Balance Sheet.

(6) Amounts reported include deposits classified as liabilities directly associated with held for sale in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operation* on the Bank's Consolidated Balance Sheet.

(7) In accordance with OSFI's Capital Adequacy Requirements Guideline. Refer to the Capital Management section beginning on page 16 for additional information.

(8) Toronto Stock Exchange (TSX) closing market price.

NON-GAAP FINANCIAL AND OTHER MEASURES

NON-GAAP FINANCIAL MEASURES

In addition to financial measures prepared based on generally accepted accounting principles (GAAP), management utilizes non-GAAP financial measures to evaluate the Bank's underlying and ongoing business performance. These non-GAAP financial measures, referred to throughout this document as adjusted measures, exclude items identified as adjusting items. Adjusting items consist of certain items of significance that arise from time to time which management believes are not indicative of underlying business performance.

Non-GAAP financial measures are not standardized financial measures under the financial reporting framework used to prepare the Bank's financial statements and may not be comparable to similar measures disclosed by other issuers. The Bank believes these non-GAAP financial measures are useful to readers in obtaining a better understanding of how management assesses the Bank's performance and in analyzing trends.

Tables 2 and 3 present a reconciliation of the non-GAAP financial measures to their most directly comparable financial measure that is disclosed in the primary financial statements of the Bank.

TABLE 2

RECONCILIATION OF NON-GAAP FINANCIAL MEASURES — CONSOLIDATED STATEMENT OF INCOME

In thousands of dollars (Unaudited)	For the three months ended			For the six months ended	
	April 30, 2026	January 31, 2026	April 30, 2025	April 30, 2026	April 30, 2025
Total revenue	\$ 213,655	\$ 251,555	\$ 242,516	\$ 465,210	\$ 492,153
Less: Adjusting items, before income taxes					
Net loss on the Syndicated Loan Transaction ⁽¹⁾	(22,508)	—	—	(22,508)	—
Profit on sale of assets under administration ⁽²⁾	—	—	—	—	875
Adjusted total revenue	\$ 236,163	\$ 251,555	\$ 242,516	\$ 487,718	\$ 491,278
Non-interest expenses	\$ 219,492	\$ 267,374	\$ 184,518	\$ 486,866	\$ 371,491
Less: Adjusting items, before income taxes					
Restructuring and other impairment charges ⁽³⁾	31,216	61,210	2,222	92,426	4,249
Transaction and conversion costs ⁽⁴⁾	5,067	11,015	—	16,082	—
Net loss on the settlement of pension plans resulting from annuity purchases ⁽⁵⁾	—	2,214	—	2,214	—
	36,283	74,439	2,222	110,722	4,249
Adjusted non-interest expenses	\$ 183,209	\$ 192,935	\$ 182,296	\$ 376,144	\$ 367,242
Income (loss) before income taxes	\$ (32,709)	\$ (32,322)	\$ 41,305	\$ (65,031)	\$ 88,794
Adjusting items, before income taxes (detailed above)	58,791	74,439	2,222	133,230	3,374
Adjusted income before income taxes	\$ 26,082	\$ 42,117	\$ 43,527	\$ 68,199	\$ 92,168
Reported net income (loss)	\$ (20,587)	\$ (20,497)	\$ 32,329	\$ (41,084)	\$ 70,930
Adjusting items, net of income taxes					
Net loss on the Syndicated Loan Transaction ⁽¹⁾	16,550	—	—	16,550	—
Profit on sale of assets under administration ⁽²⁾	—	—	—	—	(643)
Restructuring and other impairment charges ⁽³⁾	22,951	45,007	1,633	67,958	3,123
Transaction and conversion costs ⁽⁴⁾	3,726	8,099	—	11,825	—
Net loss on the settlement of pension plans resulting from annuity purchases ⁽⁵⁾	—	1,628	—	1,628	—
	43,227	54,734	1,633	97,961	2,480
Adjusted net income	\$ 22,640	\$ 34,237	\$ 33,962	\$ 56,877	\$ 73,410
Net income (loss) available to common shareholders	\$ (22,523)	\$ (25,746)	\$ 30,393	\$ (48,269)	\$ 63,745
Adjusting items, net of income taxes (detailed above)	43,227	54,734	1,633	97,961	2,480
Adjusted net income available to common shareholders	\$ 20,704	\$ 28,988	\$ 32,026	\$ 49,692	\$ 66,225

(1) The net loss on the Syndicated Loan Transaction (defined below) is attributable to the sale of the Bank's syndicated loan portfolio to National Bank, together with the assumption of certain liabilities and the reversal of previously recognized allowances for credit losses, and is included in the Other income line item. Refer to the Business Highlights section for additional information.

(2) The profit on sale of assets under administration resulted from the sale of assets under administration of LBS' discount brokerage division in the first quarter of 2025. The profit on sale of assets under administration is included in the Other income line item.

(3) Restructuring and impairment charges in 2026 arose from the Bank's strategic shift to a specialty commercial bank and its exit from the retail and SME banking businesses. As part of this transition, management reassessed the recoverability of certain non-financial assets and recorded provisions related to the planned operational changes. In 2025, restructuring and other impairment charges stemmed from the Bank's efforts to streamline its technology infrastructure and organizational structure, as well as from revised estimates related to lease contracts for corporate office premises. Restructuring and other impairment charges mainly comprised of impairment charges, severance charges, professional fees and charges related to leases and other, and are included in the Impairment and restructuring charges line item. Refer to the Business Highlights section for additional information.

(4) In connection with the Transactions announced on December 2, 2025, the Bank recognized transaction and conversion costs in 2026 that are attributable to the successful completion of the Transactions. These costs primarily relate to legal fees, professional fees and other incremental expenditures incurred as a direct result of the Transactions, and are included in the Transaction and conversion costs line item. Refer to the Business Highlights section for additional information.

(5) The net loss on the settlement of pension plans resulting from annuity purchases is related to the purchase of group annuity contracts de-risking the Bank's pension plans (or buy-out) in the first quarter of 2026 and is included in the Salaries and employee benefits line item. Refer to Note 12 to the Condensed Interim Consolidated Financial Statements for additional information.

TABLE 3

RECONCILIATION OF NON-GAAP FINANCIAL MEASURES — CONSOLIDATED BALANCE SHEET

In thousands of dollars (Unaudited)	For the three months ended			For the six months ended	
	April 30, 2026	January 31, 2026	April 30, 2025	April 30, 2026	April 30, 2025
Shareholders' equity	\$ 2,755,324	\$ 2,821,965	\$ 2,857,415	\$ 2,755,324	\$ 2,857,415
Plus (less):					
Preferred shares and other equity instruments	(245,682)	(245,682)	(245,625)	(245,682)	(245,625)
Cash flow hedge reserve ⁽¹⁾	(29,088)	(52,086)	(72,795)	(29,088)	(72,795)
Common shareholders' equity	\$ 2,480,554	\$ 2,524,197	\$ 2,538,995	\$ 2,480,554	\$ 2,538,995
Impact of averaging month-end balances⁽²⁾	18,117	25,875	(825)	44,243	(666)
Average common shareholders' equity	\$ 2,498,671	\$ 2,550,072	\$ 2,538,170	\$ 2,524,797	\$ 2,538,329

(1) The cash flow hedge reserve is presented in the Accumulated other comprehensive income line item.

(2) Based on the month-end balances for the period.

Total loans and deposits

Assets and liabilities related to the National Bank Transactions (as defined below) are presented on separate line items on the Bank's Consolidated Balance Sheet as at April 30, 2026 and as at January 31, 2026 (not applicable as at October 31, 2025). Refer to the Basis of presentation section for additional information on the classification of these balances as a disposal group held for sale under IFRS 5.

Tables 4 and 5 provide a view of the Bank's total loans and deposits, distinguishing between loans as reported, deposits as reported and those reclassified as assets held for sale and liabilities directly associated with assets held for sale, respectively. The Bank believes these non-GAAP financial measures are useful to readers in obtaining additional insight into the loans and deposits subject to the National Bank Transactions and supports the assessment of trends in the Bank's ongoing operations. These non-GAAP financial measures are defined as follows:

Total loans include loans as reported on the Bank's Consolidated Balance Sheet and those reclassified as assets held for sale in connection with the National Bank Transactions (as defined below).

Total deposits include deposits as reported on the Bank's Consolidated Balance Sheet and those reclassified as liabilities directly associated to assets held for sale in connection with the National Bank Transactions (as defined below).

TABLE 4

TOTAL LOANS

	As at April 30, 2026			As at January 31, 2026			As at October 31, 2025		
	Loans as reported	Loans classified as held for sale	Total loans	Loans as reported	Loans classified as held for sale	Total loans	Loans as reported	Loans classified as held for sale	Total loans
Loans									
Personal	\$ 1,379,715	\$ 595,358	\$ 1,975,073	\$ 1,358,743	\$ 603,986	\$ 1,962,729	\$ 1,975,613	\$ —	\$ 1,975,613
Residential mortgage	13,244,075	2,331,236	15,575,311	13,361,496	2,462,591	15,824,087	16,131,795	—	16,131,795
Commercial	17,369,243	943,239	18,312,482	16,993,479	1,630,667	18,624,146	17,906,832	—	17,906,832
Total	31,993,033	3,869,833	35,862,866	31,713,718	4,697,244	36,410,962	36,014,240	—	36,014,240
Allowances for loan losses	(151,975)	(16,673)	(168,648)	(138,875)	(40,940)	(179,815)	(176,330)	—	(176,330)
Total, net of allowances for loan losses	\$31,841,058	\$ 3,853,160	\$35,694,218	\$31,574,843	\$ 4,656,304	\$36,231,147	\$35,837,910	\$ —	\$35,837,910

TABLE 5

TOTAL DEPOSITS

	As at April 30, 2026			As at January 31, 2026			As at October 31, 2025		
	Deposits as reported	Deposits classified as held for sale	Total deposits	Deposits as reported	Deposits classified as held for sale	Total deposits	Deposits as reported	Deposits classified as held for sale	Total deposits
Deposits									
Personal	\$14,753,992	\$ 6,755,251	\$21,509,243	\$14,670,367	\$ 6,855,008	\$21,525,375	\$21,206,691	\$ —	\$21,206,691
Business, banks and other	2,013,811	894,937	2,908,748	1,843,646	922,821	2,766,467	2,791,903	—	2,791,903
Total	\$16,767,803	\$ 7,650,188	\$24,417,991	\$16,514,013	\$ 7,777,829	\$24,291,842	\$23,998,594	\$ —	\$23,998,594

NON-GAAP RATIOS

Non-GAAP ratios are not standardized financial measures under the financial reporting framework used to prepare the financial statements of the Bank to which the non-GAAP ratios relate and might not be comparable to similar financial measures disclosed by other issuers. Ratios are considered non-GAAP ratios if adjusted measures are used as components; refer to the Non-GAAP Financial Measures section above. The Bank believes non-GAAP ratios are useful to readers in obtaining a better understanding of how management assesses the Bank's performance and in analyzing trends. The following ratios are non-GAAP ratios.

Adjusted diluted earnings per share is calculated by dividing adjusted net income available to common shareholders by the diluted weighted average number of common shares outstanding. The following table presents a reconciliation of adjusted diluted earnings per share to diluted earnings per share, which is disclosed in the primary financial statements of the Bank.

TABLE 6

IMPACT OF ADJUSTING ITEMS ON DILUTED EARNINGS PER SHARE

In thousands of dollars, except per share amounts (Unaudited)	For the three months ended			For the six months ended	
	April 30, 2026	January 31, 2026	April 30, 2025	April 30, 2026	April 30, 2025
Diluted earnings (loss) per share	\$ (0.50)	\$ (0.58)	\$ 0.69	\$ (1.08)	\$ 1.44
Adjusting items, net of income taxes, on a per share basis ⁽¹⁾	0.97	1.23	0.04	2.19	0.06
Adjusted diluted earnings per share⁽²⁾	\$ 0.46	\$ 0.65	\$ 0.73	\$ 1.11	\$ 1.50

(1) Refer to Table 2 on page 5 for a detailed description of adjusting items.

(2) The impact of adjusting items on a per share basis may not add due to rounding, and the sum of the quarterly earnings per share may not equal to the cumulative earnings per share due to rounding.

Return on common shareholders' equity (ROE) is defined as net income available to common shareholders as a percentage of average common shareholders' equity. This ratio can be used in assessing the Bank's profitability.

Adjusted return on common shareholders' equity (Adjusted ROE) is defined as adjusted net income available to common shareholders as a percentage of average common shareholders' equity. This ratio can be used in assessing the Bank's profitability excluding adjusting items defined above.

Adjusted efficiency ratio is defined as adjusted non-interest expenses as a percentage of total revenue. This ratio can be used in assessing the Bank's productivity and cost control.

Adjusted operating leverage is the difference between total revenue and adjusted non-interest expenses growth rates. This ratio can be used in assessing the Bank's efficiency.

Adjusted price / earnings ratio is defined as closing common share price divided by adjusted diluted earnings per share.

Adjusted dividend payout ratio is defined as dividends declared on common shares as a percentage of adjusted net income available to common shareholders.

Book value per common share is defined as common shareholders' equity divided by the number of common shares outstanding at the end of the period.

Gross impaired loans as a % of total loans is defined as impaired loans as a percentage of total loans at the end of the period, including impaired loans and loans classified as assets held for sale.

Net impaired loans as a % of total loans is defined as impaired loans less allowances for credit losses for impaired loans, as a percentage of total loans at the end of the period, including impaired loans, allowances and total loans classified as assets held for sale.

SUPPLEMENTARY FINANCIAL MEASURES

Management also uses supplementary financial measures to analyze the Bank's results and in assessing underlying business performance and related trends. Please refer to the Glossary on page 27 of this MD&A for additional information about the composition of supplementary financial measures disclosed in this document.

BUSINESS HIGHLIGHTS

TRANSACTIONS ANNOUNCED ON DECEMBER 2, 2025

On December 2, 2025, Laurentian Bank announced a significant acceleration of its 2024 Strategic Plan toward a specialty commercial banking model, resulting in an exit from the retail and small and medium-sized enterprise ("SME") banking business. This transformation will position Laurentian Bank as a commercially oriented bank, concentrating on commercial real estate lending, inventory and equipment financing, intermediary services and capital markets activities.

National Bank of Canada (directly or through one or more affiliates) ("National Bank") has entered into a definitive agreement to acquire Laurentian Bank's retail and SME banking portfolios (the "Retail/SME Transaction"). Laurentian Bank and National Bank have also entered into a definitive agreement in respect of the sale to National Bank of Laurentian Bank's syndicated loan portfolio (the "Syndicated Loan Transaction" and, collectively with the Retail/SME Transaction, the "National Bank Transactions").

In parallel, Fairstone Bank of Canada ("Fairstone Bank"), Canada's leading alternative lender and a Schedule I bank, has entered into a definitive agreement (the "Acquisition Transaction Agreement") to acquire all issued and outstanding common shares of Laurentian Bank (the "Laurentian Bank Shares") (the "Acquisition Transaction" and, collectively with the Retail/SME Transaction, the "Transactions").

Fairstone Acquisition Transaction

Under the terms of the Acquisition Transaction Agreement, Fairstone Bank will acquire all of the issued and outstanding common shares of Laurentian Bank at a price per Laurentian Bank Share of \$40.50, in cash, representing a premium of approximately 20% over the closing price of the Laurentian Bank Shares of \$33.76 on the Toronto Stock Exchange (the "TSX") on December 1st, 2025, the last trading day prior to the announcement of the Acquisition Transaction, and a premium of approximately 22% over the 20-day volume-weighted average trading price of the Laurentian Bank Shares for the period ended on December 1st, 2025. The total cash consideration payable under the Acquisition Transaction is approximately \$1.9 billion. The Acquisition Transaction will provide holders of Laurentian Bank Shares ("Laurentian Bank Shareholders") with immediate liquidity and certainty of value.

The Acquisition Transaction was subject to approval of 66^{2/3}% of the votes cast by Laurentian Bank Shareholders at a special meeting (the "Meeting") of Laurentian Bank Shareholders held on February 5, 2026 to approve an amendment to Laurentian Bank's by-laws to provide for the acquisition of the Laurentian Bank Shares pursuant to the terms of the Acquisition Transaction Agreement. The required special resolution was obtained at the Meeting, as described in the section Summary of latest transaction developments below.

A termination fee of \$40 million would be payable by Laurentian Bank to Fairstone Bank in certain circumstances. A reverse termination fee of \$40 million would be payable by Fairstone Bank to Laurentian Bank in certain circumstances, including where key regulatory approvals are not obtained prior to the outside date.

The Acquisition Transaction is subject to the closing of the Retail/SME Transaction and will close following the closing of the Retail/SME Transaction, subject to customary closing conditions, including receipt of key regulatory approvals. The Acquisition Transaction is not subject to any financing condition.

Following completion of the Transactions, it is expected that the Laurentian Bank Shares will be delisted from the TSX. However, Laurentian Bank's Non-Cumulative Class A Preferred Shares, Series 13, Non-Cumulative 5-Year Fixed Rate Reset Class A Preferred Shares, Series 17, 5.30% Limited Recourse Capital Notes, Series 1 and 5.095% subordinated non-viability contingent capital notes are expected to remain outstanding in accordance with their terms following the completion of the Transactions. Laurentian Bank's Non-Cumulative Class A Preferred Shares, Series 13 will continue to be listed on the TSX and, as a result, Laurentian Bank will continue to be a reporting issuer under applicable Canadian securities laws following completion of the Transactions.

National Bank Transactions

Prior to the closing of the Acquisition Transaction, National Bank will acquire certain assets and assume certain liabilities related to the retail and SME banking sector being exited by Laurentian Bank in the Retail/SME Transaction pursuant to a definitive asset purchase agreement entered into concurrently with the Acquisition Transaction Agreement (the "Retail/SME Agreement"). As at April 30, 2026, retail loans and deposits totalled approximately \$2.9 billion and \$6.8 billion, respectively, while SME loans and deposits totalled approximately \$0.9 billion and \$0.9 billion, respectively. National Bank will also assume the distribution agreement for certain mutual funds with underlying assets of approximately \$3.6 billion as at April 30, 2026.

The closing of the Retail/SME Transaction is conditional on all conditions precedent to the closing of the Acquisition Transaction having been satisfied or waived and will occur prior to the closing of the Acquisition Transaction. The Retail/SME Agreement includes terms and conditions that are customary for transactions of this nature. The Retail/SME Transaction is not subject to the approval of Laurentian Bank Shareholders and is subject to customary closing conditions, including receipt of key regulatory approvals.

None of the employees or retail branches of Laurentian Bank will be transferred to National Bank. Laurentian Bank will be responsible for closing its branches and terminating the employment of certain employees (or reassigning them to other lines of business or to Fairstone Bank or its affiliates).

A termination fee of \$10 million would be payable by Laurentian Bank to National Bank in certain circumstances. A reverse termination fee of \$10 million would be payable by National Bank to Laurentian Bank in certain circumstances, including where key regulatory approvals are not obtained prior to the outside date.

Separately, concurrently with the execution of the Retail/SME Agreement, Laurentian Bank and National Bank also entered into a definitive loan purchase agreement in respect of the Syndicated Loan Transaction. The Syndicated Loan Transaction closed on February 17, 2026; refer to the section Summary of latest transaction developments below for further details. The closing of the Syndicated Loan Transaction was not conditional upon the closing of the Retail/SME Transaction or the Acquisition Transaction.

The National Bank Transactions will be fully settled in cash and cash equivalents, with the final consideration based on outstanding balances at closing. The final consideration for the Syndicated Loan Transaction was the outstanding balance of the purchased loans at closing, minus \$50 million. The aggregate purchase price of the Retail/SME Transaction (including related premium) and the Syndicated Loan Transaction (including related discount) is expected to approximate net book value.

Summary of latest transaction developments

On February 5, 2026, at the Meeting, the common shareholders of the Bank voted in favour of the Acquisition Transaction pursuant to which Fairstone Bank of Canada will acquire all of the issued and outstanding common shares of the Bank. The special resolution requiring approval by at least 66^{2/3}% of the votes cast was obtained, with 98.8% of votes cast in favour.

On February 17, 2026, the Bank completed the sale of its syndicated loan portfolio to National Bank of Canada (the Syndicated Loan Transaction). At the closing date, the outstanding principal balance of the syndicated loans was \$705.7 million. As part of the Syndicated Loan Transaction, certain other liabilities were also assumed by National Bank. The total cash consideration received at closing by Laurentian Bank was \$646.2 million, reflecting a discount of \$50.0 million to the outstanding balance of the syndicated loans and assumption of certain liabilities. In the second quarter of 2026, the Bank recorded a net loss of \$22.5 million (\$16.6 million after income taxes) in connection with the Syndicated Loan Transaction, reflecting the aforementioned discount and the impact of reversing previously recognized allowances for credit losses. Refer to Note 1 to the Condensed Interim Consolidated Financial Statements for additional information.

As of May 8, 2026, the Competition Bureau concluded its review of the Retail/SME Transaction and the Acquisition Transaction. The Competition Act approval condition to closing for both Transactions has been satisfied, provided that there is no change in circumstances relating to the Competition Bureau. Each of the Transactions also requires approval by the Office of the Superintendent of Financial Institutions, the Canadian Investment Regulatory Organization and the relevant securities regulatory authorities. The Acquisition Transaction additionally requires approval by the Minister of Finance. The completion of the Acquisition Transaction is subject to the satisfaction of other closing conditions, including the closing of the Retail/SME Transaction. Assuming the timely receipt of all other required regulatory approvals and the satisfaction of other customary closing conditions, the Transactions are expected to be completed by late 2026.

Summary of accounting impacts related to the Transactions

As at December 2, 2025, the Bank classified the assets and liabilities associated with the National Bank Transactions as a disposal group held for sale. This classification reflected management's assessment that the relevant criteria have been met, including the Bank's commitment to the sale, the availability of the assets for immediate transfer in their current condition, and the expectation that the National Bank Transactions will both close within one year from the date of classification. As at April 30, 2026, only the assets and liabilities associated with the Retail/SME Transaction were classified as assets held for sale and liabilities directly associated with assets held for sale, as the Syndicated Loan Transaction closed during the quarter. Additional information regarding the assets and liabilities classified as held for sale is provided in Note 9 to the Condensed Interim Consolidated Financial Statements. The Bank's retail and SME banking business does not represent a separate cash-generating unit and therefore does not meet the definition of discontinued operations under IFRS 5. Accordingly, these results remain presented within continuing operations.

In connection with the Transactions announced on December 2, 2025, the Bank recognized transaction and conversion costs in the first and second quarters of 2026 that are attributable to the successful completion of the Transactions. These costs primarily relate to legal fees, professional fees and other incremental expenditures incurred as a direct result of the Transactions. Certain costs that are conditional upon the closing of the Transactions will be recognized as they are incurred in subsequent periods.

The Bank also recognized restructuring and impairment charges in the first and second quarters of 2026 arising from its strategic shift to a specialty commercial bank and its exit from the retail and SME banking businesses. As part of this transition, management reassessed the recoverability of certain non-financial assets and recorded provisions related to planned operational changes. These charges primarily included severance and employee benefit costs associated with anticipated workforce reductions, the impairment and accelerated amortization of software and other intangible assets, the impairment of right-of-use assets and leasehold improvements affected by the exit of related activities, and provisions for onerous contracts and unavoidable costs under contractual arrangements linked to the retail and SME operations.

Refer to the Critical accounting and estimates section on page 25 of this MD&A and to Notes 7 and 17 to the Condensed Interim Consolidated Financial Statements for additional information.

OUTLOOK

ECONOMIC OUTLOOK

The global economic outlook remains broadly resilient despite persistent geopolitical tensions and ongoing uncertainty surrounding U.S. economic and trade policy. Substantial investment in artificial intelligence (AI) and related technologies, supported by expansionary fiscal measures, is more than offsetting the impact of elevated tariffs. However, escalating geopolitical tensions, including conflict in the Middle East and related commodity supply disruptions, have increased global fragmentation and widened the range of potential economic outcomes.

In the United States, solid economic momentum is being driven primarily by sustained AI-related capital spending. Nonetheless, growth remains uneven across regions and income groups, with high-income households benefiting disproportionately from fiscal stimulus and equity market performance. Meanwhile, the war in the Middle East has begun to add complexity to business decision-making around pricing, capital allocation, and workforce planning. Against this backdrop, the U.S. Federal Reserve has held its policy rate unchanged at 3.75% thus far in 2026, while emphasizing its readiness to adjust the monetary policy stance as conditions evolve.

In Canada, the economy continues to adjust to ongoing global trade realignment and the effects of slow population growth. Real GDP growth remained modest, underpinned by federal affordability initiatives for individuals and strategic public spending in both defence and non-defence areas. Uncertainty remains elevated ahead of the mid-year review of the Canada–United States–Mexico Agreement (CUSMA). In this environment, Canadian businesses continue to take a cautious approach to hiring and investment, while consumer spending is supported modestly by solid equity market performance, even as rising costs—particularly those linked to higher oil prices—begin to constrain both businesses and households.

Labour market conditions in Canada remain soft and have shown modest signs of deterioration thus far this year, particularly in Ontario. The national unemployment rate reached a seven-month high of 6.9% in April 2026, reflecting employment declines in export-oriented industries impacted by the imposition of U.S. tariff measures. Regional outcomes remain uneven, with low unemployment in Quebec, elevated long-term unemployment in Ontario, and an outsized share of full-time job creation concentrated in Alberta.

Following a sharp rebound in homebuilding activity in the latter part of 2025, led by rental construction, the number of new residential units entering construction (known as housing starts) has recently begun to moderate. Despite this easing, housing starts remain at historically elevated levels, and the sizeable inventory of units currently under construction continues to support a strong pipeline of residential completions in the near term. Rental vacancy rates have increased from previously low levels in several regions, while demand for condominium units remains subdued and inventories continue to accumulate in Ontario and British Columbia, particularly in the Toronto and Vancouver metropolitan areas. Condo inventories have also risen in Calgary. In contrast, housing markets in Quebec remain firmly in sellers' territory, supported by relatively balanced supply-demand conditions.

Consumer price inflation has picked up over the quarter, now above the Bank of Canada's 2% target. The overnight rate target stood at 2.25%, and the Bank of Canada has signaled its willingness to raise the policy rate should increases in oil and fertilizer prices broaden and lift inflation pressures across a wider range of goods and services. At the same time, the Bank of Canada remains prepared to ease policy if higher U.S. trade restrictions materialize following an adverse CUSMA outcome. The Canadian dollar has continued to experience significant volatility, reflecting heightened geopolitical tensions since the start of the year as well as broader movements in the U.S. dollar.

ANALYSIS OF CONSOLIDATED RESULTS

TABLE 7
CONDENSED CONSOLIDATED RESULTS

In thousands of dollars, except percentage amounts (Unaudited)	For the three months ended			For the six months ended	
	April 30, 2026	January 31, 2026	April 30, 2025	April 30, 2026	April 30, 2025
Net interest income	\$ 185,026	\$ 194,863	\$ 182,181	\$ 379,889	\$ 368,388
Other income	28,629	56,692	60,335	85,321	123,765
Total revenue	213,655	251,555	242,516	465,210	492,153
Provision for credit losses	26,872	16,503	16,693	43,375	31,868
Non-interest expenses	219,492	267,374	184,518	486,866	371,491
Income (loss) before income taxes	(32,709)	(32,322)	41,305	(65,031)	88,794
Income taxes (recovery)	(12,122)	(11,825)	8,976	(23,947)	17,864
Net income (loss)	(20,587)	(20,497)	32,329	(41,084)	70,930
Dividends on preferred shares and distributions on other equity instruments	1,936	5,249	1,936	7,185	7,185
Net income (loss) available to common shareholders	\$ (22,523)	\$ (25,746)	\$ 30,393	\$ (48,269)	\$ 63,745
Non-GAAP financial measures					
Adjusted total revenue ⁽¹⁾	\$ 236,163	\$ 251,555	\$ 242,516	\$ 487,718	\$ 491,278
Adjusted non-interest expenses ⁽¹⁾	\$ 183,209	\$ 192,935	\$ 182,296	\$ 376,144	\$ 367,242
Adjusted income before income taxes ⁽¹⁾	\$ 26,082	\$ 42,117	\$ 43,527	\$ 68,199	\$ 92,168
Adjusted net income ⁽¹⁾	\$ 22,640	\$ 34,237	\$ 33,962	\$ 56,877	\$ 73,410
Adjusted net income available to common shareholders ⁽¹⁾	\$ 20,704	\$ 28,988	\$ 32,026	\$ 49,692	\$ 66,225

(1) This is a non-GAAP financial measure. Refer to the Non-GAAP Financial and Other Measures section beginning on page 5 for additional information.

SECOND QUARTER OF 2026 COMPARED WITH SECOND QUARTER OF 2025

A net loss of \$20.6 million and a diluted loss per share of \$0.50 were recorded for the second quarter of 2026, compared with net income of \$32.3 million and diluted earnings per share of \$0.69 for the second quarter of 2025. Of note, reported results for the second quarter of 2026 included adjusting items of \$58.8 million (\$43.2 million after income taxes), or \$0.97 per share, related to the Transactions announced on December 2, 2025. Refer to the Non-GAAP Financial and Other Measures section and to the Business Highlights section for additional information. Adjusted net income was \$22.6 million and adjusted diluted earnings per share were \$0.46 for the second quarter of 2026, compared with \$34.0 million and \$0.73 for the second quarter of 2025.

Total revenue

Total revenue decreased by \$28.9 million to \$213.7 million for the second quarter of 2026, compared with \$242.5 million for the second quarter of 2025, mostly attributable to a decrease in other income, partially offset by an increase in net interest income, as detailed below.

Net interest income increased by \$2.8 million or 2% to \$185.0 million for the second quarter of 2026, compared with \$182.2 million for the second quarter of 2025. This increase is mainly due to favourable shifts in the Bank's business mix. The net interest margin was 1.84% for the second quarter of 2026, mainly unchanged compared with 1.85% for the second quarter of 2025.

Other income decreased by \$31.7 million to \$28.6 million for the second quarter of 2026, compared with \$60.3 million for the second quarter of 2025. This decrease is primarily attributable to the \$22.5 million net loss on the Syndicated Loan Transaction. The decrease was further driven by \$9.8 million lower income from financial instruments, reflecting subdued financial markets related activity.

Provision for credit losses

The provision for credit losses was \$26.9 million for the second quarter of 2026, compared with \$16.7 million for the second quarter of 2025, representing an increase of \$10.2 million, primarily driven by higher provisions on impaired commercial loans. The provision for credit losses as a percentage of average loans, including those classified as assets held for sale, was 31 basis points for the quarter, compared with 19 basis points for the same quarter one year ago. Refer to the "Credit risk" section on pages 18 to 20 of this MD&A and to Note 5 to the Condensed Interim Consolidated Financial Statements for additional information on provision for credit losses and allowances for credit losses.

Non-interest expenses

Non-interest expenses amounted to \$219.5 million for the second quarter of 2026, an increase of \$35.0 million compared with the second quarter of 2025. Adjusted non-interest expenses increased by \$0.9 million or 1% to \$183.2 million for the second quarter of 2026, compared with \$182.3 million for the second quarter of 2025.

Salaries and employee benefits amounted to \$91.0 million for the second quarter of 2026, a decrease of \$1.4 million compared with the second quarter of 2025. The decrease primarily reflects lower regular salary and employee-related costs, consistent with workforce optimization efforts, partially offset by higher performance-based compensation.

Premises and technology costs were \$54.2 million for the second quarter of 2026, an increase of \$2.4 million compared with the second quarter of 2025. The increase mainly reflects higher technology costs, driven by the deployment of strategic technology initiatives and increased amortization from completed technology projects.

Impairment and restructuring charges were \$31.2 million for the second quarter of 2026, compared with \$2.2 million for the second quarter of 2025. In the second quarter of 2026, charges recorded result from the Bank's strategic shift to a specialty commercial bank and its exit from the retail and SME banking businesses. The charges primarily reflected the severance and employee benefit costs associated with anticipated workforce reductions, the impairment and accelerated amortization of software and other intangible assets, the impairment of right-of-use assets and leasehold improvements affected by the exit of related activities, and provisions for onerous contracts and unavoidable costs under contractual arrangements linked to the retail and SME operations. Refer to the Business Highlights section and to Note 17 to the Condensed Interim Consolidated Financial Statements for additional information on the impairment and restructuring charges. In the second quarter of 2025, the Bank recorded impairment and restructuring charges of \$2.2 million related to streamlining the Bank's organizational structure.

Transaction and conversion costs amounted to \$5.1 million for the second quarter of 2026. In connection with the Transactions announced on December 2, 2025, the Bank recognized transaction and conversion costs that are attributable to the successful completion of the Transactions. These costs primarily relate to legal fees, professional fees and other incremental expenditures incurred as a direct result of the Transactions. No such costs were recognized in the second quarter of 2025. Refer to the Business Highlights section and to Note 17 to the Condensed Interim Consolidated Financial Statements for additional information on the transaction and conversion costs.

Other non-interest expenses were \$38.0 million for the second quarter of 2026, essentially unchanged compared with the second quarter of 2025.

Efficiency ratio

The efficiency ratio on a reported basis increased to 102.7% for the second quarter of 2026, compared with 76.1% for the second quarter of 2025. The year-over-year increase primarily reflects the impairment and restructuring charges recognized in the quarter, as well as transaction and conversion costs. The adjusted efficiency ratio increased to 77.6% for the second quarter of 2026, compared with 75.2% for the second quarter of 2025, for reasons outlined in the analysis above.

Income taxes

For the second quarter of 2026, the income tax recovery was \$12.1 million, and the effective income tax rate was 37.1%. The higher effective income tax rate compared to the statutory income tax rate reflects the impact of the loss recorded for the quarter and was essentially attributed to a lower taxation level on income from foreign operations. For the second quarter of 2025, the income tax expense was \$9.0 million, and the effective income tax rate was 21.7%. The lower effective income tax rate compared to the statutory income tax rate was essentially attributed to a lower taxation level on income from foreign operations.

SIX MONTHS ENDED APRIL 30, 2026 COMPARED WITH SIX MONTHS ENDED APRIL 30, 2025

A net loss of \$41.1 million and a diluted loss per share of \$1.08 were recorded for the six months ended April 30, 2026, compared with net income of \$70.9 million and diluted earnings per share of \$1.44 for the six months ended April 30, 2025. Of note, reported results for the six months ended April 30, 2026 included adjusting items of \$133.2 million (\$98.0 million after income taxes), or \$2.19 per share, primarily related to the Transactions announced on December 2, 2025. Adjusted net income was \$56.9 million and adjusted diluted earnings per share were \$1.11 for the six months ended April 30, 2026, compared with \$73.4 million and \$1.50 for the six months ended April 30, 2025.

Total revenue

Total revenue was \$465.2 million for the six months ended April 30, 2026, a decrease of \$26.9 million compared with \$492.2 million for the six months ended April 30, 2025. The decrease is mostly attributable to lower other income resulting from the net loss on the Syndicated Loan Transaction, partially offset by an increase in net interest income, as detailed below.

Net interest income increased by \$11.5 million or 3% to \$379.9 million for the six months ended April 30, 2026, compared with \$368.4 million for the six months ended April 30, 2025, mainly due to higher interest income from favourable shifts in the Bank's business mix and favourable loan repayments in the first quarter of 2026. The net interest margin was 1.86% for the six months ended April 30, 2026, mainly unchanged compared with 1.85% for the six months ended April 30, 2025, primarily for the same reasons.

Other income decreased by \$38.4 million to \$85.3 million for the six months ended April 30, 2026, compared with \$123.8 million for the six months ended April 30, 2025. This decrease is primarily attributable to the \$22.5 million net loss on the Syndicated Loan Transaction, which closed in the second quarter of 2026. In addition, income from financial instruments decreased by \$15.8 million compared with the six months ended April 30, 2025 as a result of subdued financial markets related activity.

Provision for credit losses

The provision for credit losses increased by \$11.5 million to \$43.4 million for the six months ended April 30, 2026 compared with \$31.9 million for the six months ended April 30, 2025. The increase compared to the prior year was a result of higher provisions on performing loans and impaired commercial loans. The provision for credit losses as a percentage of average loans, including those

classified as assets held for sale, was 24 basis points for the six months ended April 30, 2026, compared with 18 basis points for the six months ended April 30, 2025. Refer to the "Credit risk" section on pages 18 to 20 of this MD&A and to Note 5 to the Condensed Interim Consolidated Financial Statements for additional information on provision for credit losses and allowances for credit losses.

Non-interest expenses

Non-interest expenses increased by \$115.4 million or 31% to \$486.9 million for the six months ended April 30, 2026, compared with \$371.5 million for the six months ended April 30, 2025. Adjusted non-interest expenses increased by \$8.9 million or 2% to \$376.1 million for the six months ended April 30, 2026, compared with \$367.2 million for the six months ended April 30, 2025.

Salaries and employee benefits increased by \$4.4 million to \$193.7 million for the six months ended April 30, 2026, compared with the six months ended April 30, 2025. The increase mainly reflects regular annual salary increases, higher employee benefits, and performance-based compensation partially mitigated by a streamlined workforce. The Bank also recorded a net loss of \$2.2 million related to the settlement of certain pension plans resulting from an annuity purchase in the first quarter of 2026. Refer to Note 12 of the Condensed Interim Consolidated Financial Statements for additional information concerning the annuity purchase transaction.

Premises and technology costs increased by \$6.5 million to \$109.2 million for the six months ended April 30, 2026, compared with the six months ended April 30, 2025. The increase mainly reflects higher technology costs, driven by the deployment of strategic technology initiatives and increased amortization from completed technology projects.

Other non-interest expenses increased by \$0.3 million to \$75.4 million for the six months ended April 30, 2026, remaining broadly in line with the same period one year ago.

Impairment and restructuring charges were \$92.4 million for the six months ended April 30, 2026, compared with \$4.2 million for the six months ended April 30, 2025. For the six months ended April 30, 2026, charges recorded result from the Bank's strategic shift to a specialty commercial bank and its exit from the retail and SME banking businesses. The charges primarily reflected the severance and employee benefit costs associated with anticipated workforce reductions, the impairment and accelerated amortization of software and other intangible assets, the impairment of right-of-use assets and leasehold improvements affected by the exit of related activities, and provisions for onerous contracts and unavoidable costs under contractual arrangements linked to the retail and SME operations. For the six months ended April 30, 2025, restructuring and other impairment charges were related to streamlining the Bank's technology infrastructure and organizational structure. Refer to the Non-GAAP Financial and Other Measures and Business Highlights sections of this MD&A for further details.

Efficiency ratio

The efficiency ratio on a reported basis increased to 104.7% for the six months ended April 30, 2026, compared with 75.5% for the six months ended April 30, 2025. The year-over-year increase primarily reflects the impairment and restructuring charges recognized in the period, as well as transaction and conversion costs. The adjusted efficiency ratio increased to 77.1% for the six months ended April 30, 2026, compared with 74.8% for the six months ended April 30, 2025, mainly as a result of lower total revenue.

Income taxes

For the six months ended April 30, 2026, the income tax recovery was \$23.9 million, and the effective income tax rate was 36.8%. The higher effective income tax rate compared to the statutory income tax rate reflects the impact of the loss recorded for the six months ended April 30, 2026 and was essentially attributed to a lower taxation level on income from foreign operations. For the six months ended April 30, 2025, the income tax expense was \$17.9 million, and the effective income tax rate was 20.1%. The lower effective income tax rate, compared to the statutory income tax rate, was essentially attributed to a lower taxation level on income from foreign operations.

SECOND QUARTER OF 2026 COMPARED WITH FIRST QUARTER OF 2026

A net loss of \$20.6 million and a diluted loss per share of \$0.50 were recorded for the second quarter of 2026, compared with a net loss of \$20.5 million and a diluted loss per share of \$0.58 for the first quarter of 2026. Of note, reported results for the second quarter of 2026 included adjusting items of \$58.8 million (\$43.2 million after income taxes), or \$0.97 per share, compared with \$72.2 million (\$53.1 million after income taxes), or \$1.07 per share for the first quarter of 2026, related to the Transactions announced on December 2, 2025. Refer to the Non-GAAP Financial and Other Measures section and to the Business Highlights section for additional information. Adjusted net income was \$22.6 million and adjusted diluted earnings per share were \$0.46 for the second quarter of 2026, compared with \$34.2 million and \$0.65 for the first quarter of 2026. Net income available to common shareholders in the second quarter of 2026 included only the quarterly dividend declared on Preferred Shares Series 13, whereas the first quarter of 2026 included the interest paid semi-annually on the limited recourse capital notes and the quarterly dividend declared on Preferred Shares Series 13.

Total revenue decreased by \$37.9 million to \$213.7 million for the second quarter of 2026 compared with \$251.6 million for the previous quarter, attributable to a decrease in other income resulting from the \$22.5 million net loss on the Syndicated Loan Transaction, in addition to a decrease in net interest income, as detailed below.

Net interest income decreased by \$9.8 million to \$185.0 million, which mainly reflected the negative impact of three fewer days in the second quarter as well as the impact of the Syndicated Loan Transaction that closed during the quarter. Net interest margin was 1.84% for the second quarter of 2026, a decrease of 5 basis points compared with the first quarter of 2026. This decrease was mainly driven by the non-recurrence of loan repricing lags and favourable loan repayments recorded in the first quarter of 2026.

Other income amounted to \$28.6 million for the second quarter of 2026, a decrease of \$28.1 million compared with \$56.7 million for the previous quarter. This decrease is primarily attributable to the \$22.5 million net loss on the Syndicated Loan Transaction, which closed in

the second quarter of 2026. Income from financial instruments decreased by \$4.1 million compared with the first quarter of 2026 as a result of subdued financial markets related activity.

The provision for credit losses was \$26.9 million for the second quarter of 2026, an increase of \$10.4 million compared with \$16.5 million for the first quarter of 2026, primarily driven by higher provisions on impaired commercial loans. Refer to the "Credit risk" section on pages 18 to 20 of this MD&A and to Note 5 to the Condensed Interim Consolidated Financial Statements for additional information on provision for credit losses and allowances for credit losses.

Non-interest expenses decreased by \$47.9 million to \$219.5 million for the second quarter of 2026 from \$267.4 million in the first quarter of 2026. In the second quarter of 2026, non-interest expenses included impairment and restructuring charges of \$31.2 million, related the Bank's strategic shift to a specialty commercial bank, resulting in its exit from the retail and SME banking business, compared with \$61.2 million in the first quarter of 2026. Non-interest expenses also included transaction and conversion costs of \$5.1 million for the second quarter of 2026 compared with \$11.0 million in the first quarter of 2026, representing legal fees, professional fees and other incremental expenditures incurred as a direct result of the Transactions. Refer to the Business Highlights section and to Note 17 to the Condensed Interim Consolidated Financial Statements for additional information. Adjusted non-interest expenses amounted to \$183.2 million in the second quarter of 2026, a decrease of \$9.7 million, driven by seasonally lower salaries and employee benefits, and a streamlined workforce.

ANALYSIS OF FINANCIAL CONDITION

TABLE 8
CONDENSED BALANCE SHEET

In thousands of dollars (Unaudited)	As at April 30, 2026	As at October 31, 2025
Assets		
Cash and deposits with banks	\$ 1,396,587	\$ 1,315,519
Securities	8,307,234	7,779,946
Securities purchased under reverse repurchase agreements	2,871,162	4,007,686
Liquid assets ⁽¹⁾	12,574,983	13,103,151
Loans, net of allowances	31,841,058	35,837,910
Assets held for sale	3,917,064	—
Other assets	1,102,655	1,206,635
	\$ 49,435,760	\$ 50,147,696
Liabilities and Shareholders' Equity		
Deposits	\$ 16,767,803	\$ 23,998,594
Liabilities directly associated with assets held for sale	8,003,340	—
Other liabilities	7,448,861	8,883,679
Debt related to securitization activities	14,144,947	14,052,700
Subordinated debt	315,485	330,903
Shareholders' equity	2,755,324	2,881,820
	\$ 49,435,760	\$ 50,147,696

(1) Liquid assets as presented on the balance sheet is a supplementary financial measure and consist of cash, deposits with banks, securities and securities purchased under reverse repurchase agreements.

As at April 30, 2026, total assets amounted to \$49.4 billion, compared with \$50.1 billion as at October 31, 2025, with the decrease primarily attributable to lower liquid assets and lower net loans, including those classified as assets held for sale.

Liquid assets

As at April 30, 2026, liquid assets as presented on the balance sheet amounted to \$12.6 billion, a decrease of \$0.5 billion compared with \$13.1 billion as at October 31, 2025. The Bank continues to prudently manage its level of liquid assets. The Bank's funding sources, including those classified as held for sale, remain well diversified and sufficient to meet all liquidity requirements. Liquid assets represented 25% of total assets as at April 30, 2026, compared with 26% as at October 31, 2025.

Loans

Loans, net of allowances, stood at \$31.8 billion as at April 30, 2026, a decrease of \$4.0 billion since October 31, 2025. The decrease in gross loans reflects the reclassification of \$3.9 billion of loans to the Assets held for sale line item in connection with the National Bank Transactions. The decrease in loans also reflects the sale of \$0.7 billion of syndicated loans pursuant to the Syndicated Loan Transaction.

Total loans, including loans classified on the Assets held for sale line item, amounted to \$35.9 billion as at April 30, 2026 compared with \$36.0 billion as at October 31, 2025. Total commercial loans amounted to \$18.3 billion as at April 30, 2026, an increase of \$0.4 billion or 2% since October 31, 2025 resulting from key growth engines, namely commercial real estate and inventory financing, partially offset by the impact of the Syndicated Loan Transaction. Total personal loans amounted to \$2.0 billion as at April 30, 2026, relatively unchanged from October 31, 2025. Total residential mortgage loans amounted to \$15.6 billion as at April 30, 2026, a decrease of \$0.6 billion or 3% from October 31, 2025, reflecting the Bank's strategic shift in business mix as it transitions towards a specialty commercial banking model.

Assets held for sale

Assets held for sale amounted to \$3.9 billion as at April 30, 2026, with no such balance recognized as at October 31, 2025. The balance as at April 30, 2026 reflects the Bank's classification of the assets directly associated with the National Bank Transactions as a disposal group held for sale effective December 2, 2025. The balance consists primarily of loans, derivatives, and other related assets. Refer to Note 9 to the Condensed Interim Consolidated Financial Statements for additional information on assets held for sale and liabilities directly associated with assets held for sale.

Other assets

Other assets stood at \$1.1 billion as at April 30, 2026, relatively unchanged compared with October 31, 2025.

Deposits

Deposits decreased by \$7.2 billion to \$16.8 billion as at April 30, 2026, compared with \$24.0 billion as at October 31, 2025. The decrease in deposits is explained by the reclassification of \$7.7 billion to the Liabilities directly associated with assets held for sale line item in connection with the National Bank Transactions.

Total deposits, including deposits classified on the Liabilities directly associated with assets held for sale line item, amounted to \$24.4 billion as at April 30, 2026, an increase of \$0.4 billion compared with \$24.0 billion as at October 31, 2025, primarily driven by deposits from advisors and brokers. Total personal deposits stood at \$21.5 billion as at April 30, 2026 and increased by \$0.3 billion compared with \$21.2 billion as at October 31, 2025. Of note, deposits from advisors and brokers increased by \$0.8 billion whereas personal notice and demand deposits from partnerships decreased by \$0.3 billion and \$0.2 billion from retail compared with October 31, 2025. Total personal deposits represented 88% of total deposits as at April 30, 2026, unchanged compared with October 31, 2025, and contributed to the Bank's sound liquidity position. Total deposits from business, banks and other amounted to \$2.9 billion as at April 30, 2026, an increase of \$0.1 billion compared with \$2.8 billion as at October 31, 2025, primarily driven by an increase in wholesale funding.

Liabilities directly associated with assets held for sale

Liabilities directly associated with assets held for sale amounted to \$8.0 billion as at April 30, 2026, with no such balance recognized as at October 31, 2025. The balance as at April 30, 2026 reflects the Bank's classification of the liabilities directly associated with the National Bank Transactions as a disposal group held for sale effective December 2, 2025. The balance consists primarily of deposits, debt related to securitization activities, and other related liabilities, including accrued interest payable. Refer to Note 9 to the Condensed Interim Consolidated Financial Statements for additional information on assets held for sale and liabilities directly associated with assets held for sale.

Other liabilities

Other liabilities stood at \$7.4 billion as at April 30, 2026, a decrease of \$1.4 billion since October 31, 2025. The decrease is partly attributable to the reclassification of \$0.3 billion of other liabilities to the Liabilities directly associated with assets held for sale line item in connection with the National Bank Transactions. In addition, lower obligations related to trading activities contributed to the decrease.

Debt related to securitization activities

Debt related to securitization activities increased by \$0.1 billion or 1% compared with October 31, 2025 and stood at \$14.1 billion as at April 30, 2026. During the quarter, new issuances of cost-effective long-term debt related to securitization activities more than offset maturities of liabilities, as well as normal repayments.

Subordinated debt

Subordinated debt stood at \$0.3 billion as at April 30, 2026, unchanged from October 31, 2025. Subordinated debt is an integral part of the Bank's regulatory capital and affords its depositors additional protection, as further detailed in the Capital Management section below.

Shareholders' equity

Shareholders' equity stood at \$2.8 billion as at April 30, 2026, a decrease of \$126.5 million compared with October 31, 2025. Retained earnings decreased by \$86.3 million compared to October 31, 2025, mainly as a result of the sum of the net loss of \$41.1 million, dividends and other distributions. Accumulated other comprehensive income decreased by \$47.6 million compared to October 31, 2025. For additional information, please refer to the Capital Management section below and to the Consolidated Statement of Changes in Shareholders' Equity for the period ended April 30, 2026.

The Bank's book value per common share was \$55.38 as at April 30, 2026 compared to \$57.67 as at October 31, 2025.

CAPITAL MANAGEMENT

Management seeks to maintain an adequate level of capital that considers the Bank's targeted capital ratios and internal assessment of required capital that is aligned with the Bank's risk appetite, strategic plan and shareholders' expectations. This framework is underpinned by the Bank's Capital Management and Adequacy Policy which outlines the mechanisms for capital planning, management and adequacy assessment. Refer to the section "Capital Management" on page 35 of the Bank's 2025 Annual Report for additional information on the Bank's capital management framework.

REGULATORY CAPITAL

The Office of the Superintendent of Financial Institutions (OSFI) requires banks to meet minimum risk-based capital ratios drawn on the Basel Committee on Banking Supervision (BCBS) capital framework, commonly referred to as the Basel III Accord. Under OSFI's guideline, minimum Common Equity Tier 1 (CET1), Tier 1 and Total capital ratios are set at 7.0%, 8.5% and 10.5% respectively including a 2.5% capital conservation buffer. For additional information on the three types of capital and ratios definitions, see the Glossary on page 27 of this MD&A. Institutions are expected to meet minimum risk-based capital requirements for exposure to credit risk, operational risk and, where they are internationally active, market risk.

The Basel III Accord also introduced a non-risk-based leverage ratio requirement to act as a supplementary measure to the risk-based capital requirements. Under OSFI's Leverage Requirements Guideline, federally regulated deposit-taking institutions are expected to maintain a Basel III leverage ratio that always meets or exceeds 3%. For additional information on the leverage ratio definition, see the Glossary on page 27 of this MD&A.

Regulatory capital developments

During the period ended April 30, 2026, there were no regulatory capital developments that materially impacted the Bank's capital framework.

Regulatory capital ratios

The CET1 capital ratio was 11.0% as at April 30, 2026, in excess of the minimum regulatory requirement and the Bank's target management levels. The CET1 capital ratio decreased by 30 basis points compared with 11.3% as at October 31, 2025, mainly due to internal capital consumption. The Bank met OSFI's capital and leverage requirements throughout the quarter.

TABLE 9
REGULATORY CAPITAL AND LEVERAGE RATIOS⁽¹⁾

In thousands of dollars, except percentages	As at April 30, 2026	As at October 31, 2025
Regulatory capital		
Common shares	\$ 1,214,504	\$ 1,205,807
Retained earnings	1,265,871	1,352,215
Accumulated other comprehensive income	24,567	72,185
Share-based compensation reserve	4,700	5,931
Deductions from Common Equity Tier 1 capital ⁽²⁾	(248,920)	(306,359)
Common Equity Tier 1 capital	2,260,722	2,329,779
Qualifying preferred shares and other equity instruments	245,682	245,682
Additional Tier 1 capital	245,682	245,682
Tier 1 capital	2,506,404	2,575,461
Qualifying subordinated debt	315,485	330,903
Collective allowances	112,766	112,882
Tier 2 capital	428,251	443,785
Total capital	\$ 2,934,655	\$ 3,019,246
Total risk-weighted assets	\$ 20,641,651	\$ 20,700,183
Total exposure	\$ 51,163,207	\$ 51,303,517
Capital ratios		
Common Equity Tier 1 capital ratio	11.0 %	11.3 %
Tier 1 capital ratio	12.1 %	12.4 %
Total capital ratio	14.2 %	14.6 %
Leverage ratio	4.9 %	5.0 %

(1) Assets classified as held for sale under IFRS 5 remain subject to the same regulatory capital treatment until they are derecognized. Accordingly, the classification does not affect the measurement of the Bank's risk-weighted assets or regulatory capital ratios.

(2) Comprised of deductions for software and other intangible assets, deferred tax assets excluding those arising from temporary differences, net pension plan assets, cash flow hedge reserve and other.

OUTSTANDING CAPITAL INSTRUMENTS

As at May 20, 2026, there were 5,000,000 outstanding Preferred Shares Series 13, 44,793,140 outstanding common shares and 1,095,973 outstanding stock options.

NON-VIABILITY CONTINGENT (NVCC) CAPITAL INSTRUMENTS AND OTHER BAIL-IN REGULATIONS

As required under OSFI's Capital Adequacy Requirements Guideline in accordance with Basel III, all non-common regulatory capital instruments issued by the Bank include a non-viability contingent capital (NVCC) clause. This provision requires that, in the event OSFI determines the Bank is, or is about to become, non-viable, either independently or alongside a federal public sector capital injection, such instruments will automatically convert into common shares to support the Bank's recapitalization.

The Bank's NVCC instruments include its Class A Preferred Shares Series 13, subordinated debentures due June 15, 2032, and Limited Recourse Capital Notes (LRCN) Series 1. Upon a trigger event, these instruments convert into common shares at the greater of \$5.00 or the 10-day volume-weighted average trading price of the common shares prior to the trigger. Assuming no accrued and unpaid interest or dividends, the maximum number of common shares issuable upon conversion is approximately 120 million, representing potential dilution of approximately 72.8% based on common shares outstanding as at April 30, 2026.

Separately, under the Bank Act and the Canadian Deposit Insurance Corporation (CDIC) Act, certain senior unsecured liabilities may be subject to bail-in conversion if the Bank is, or is about to become, non-viable. These bail-in rules apply independently of the NVCC regime and exclude deposits and certain prescribed liabilities. The Bank is not designated as a Domestic Systemically Important Bank (D-SIB) by OSFI and is therefore not subject to Total Loss Absorbing Capacity (TLAC) requirements.

DIVIDENDS

On May 12, 2026, the Board of Directors declared a dividend of \$0.38725 per Preferred Share Series 13, payable on June 15, 2026 (the "Payment Date") to shareholders of record on June 8, 2026.

On May 28, 2026, the Board of Directors declared a quarterly dividend of \$0.47 per common share, payable on August 1, 2026 (the "Payment Date") that will be paid out on August 3, 2026, the first business day following the Payment Date, to shareholders of record on July 1, 2026. This quarterly dividend is equal to the dividend declared in the previous quarter and to the dividend declared in the previous year. On May 28, 2026, the Board also determined that shares attributed under the Bank's Shareholder Dividend Reinvestment and Share Purchase Plan will be made in common shares issued from Corporate Treasury at no discount.

RISK MANAGEMENT

The Bank is exposed to various types of risks owing to its activities, mainly as it relates to the use of financial instruments. In order to manage these risks, various risk management policies and risk limits, as well as other controls have been implemented. These measures aim to ensure we manage within our risk appetite while optimizing risk-return in all operating segments. Refer to the section "Risk Appetite and Risk Management Framework" on page 38 of the Bank's 2025 Annual Report for additional information on the Bank's risk management framework.

CREDIT RISK

The following sections provide further details on the credit quality of the Bank's loan portfolio.

Measurement uncertainty of expected credit loss estimates

The Bank updates its forward-looking economic scenarios on a quarterly basis to assess its allowances for credit losses. The three scenarios, "base", "downside" and "upside" were probability weighted as part of the Bank's approach to determining the expected credit losses as at April 30, 2026 and are further described in Note 5 to the Condensed Interim Consolidated Financial Statements.

The allowance for credit losses remains highly sensitive to model inputs, particularly macroeconomic variables embedded in forward-looking scenarios and their respective weightings. While the global economic outlook has shown resilience and near-term risks have moderated, uncertainty remains elevated, driven in part by geopolitical conflicts and ongoing shifts in U.S. trade policy, and their downstream effects on both Canadian and U.S. economic activity. These factors continue to present challenges in the assessment of future credit performance, including the potential for write-offs or adjustments to the Bank's allowance for credit losses in subsequent reporting periods.

Impact of loans reclassified as held for sale on credit risk measures

Credit risk measures for 2026 are impacted by loans reclassified to the Assets held for sale line item in connection with the National Bank Transactions. While these loans are presented separately on the Consolidated Balance Sheet, they continue to be fully incorporated into the Bank's credit risk assessments and expected credit loss calculations, as they remain subject to the Bank's standard credit risk monitoring and provisioning processes. Accordingly, credit quality metrics continue to include these exposures, on a basis consistent with prior periods.

Provision for credit losses

Second quarter of 2026 compared with second quarter of 2025

Total provision for credit losses of \$26.9 million increased by \$10.2 million compared with the second quarter of 2025, primarily driven by higher provisions on impaired commercial loans. The provision for credit losses as a percentage of average loans, including those classified as assets held for sale, was 31 basis points for the quarter, compared with 19 basis points for the same quarter one year ago.

The provision for credit losses on performing loans was \$1.6 million for the second quarter of 2026, compared with \$2.3 million for the second quarter of 2025. This mainly reflects lower provisions on performing personal and residential mortgage loans, partially offset by higher provisions on performing commercial loans compared to the second quarter of 2025.

The provision for credit losses on impaired loans was \$25.3 million for the second quarter of 2026 and increased by \$10.9 million compared with the second quarter of 2025. This mainly reflects higher provisions in the commercial loan portfolio compared to the second quarter of 2025.

Six months ended April 30, 2026 compared with six months ended April 30, 2025

Total provision for credit losses of \$43.4 million increased by \$11.5 million for the six months ended April 30, 2026, compared with the six months ended April 30, 2025, mainly reflecting higher provisions on performing and impaired commercial loans. The provision for credit losses as a percentage of average loans, including those classified as assets held for sale, was 24 basis points for the six months ended April 30, 2026, compared with 18 basis points for the six months ended April 30, 2025.

The provision for credit losses on performing loans was \$4.0 million for the six months ended April 30, 2026, compared with a release of \$4.3 million for the six months ended April 30, 2025. This mainly reflects higher provisions due to credit migration combined with lower releases of provisions on performing commercial, personal and residential mortgage loans.

The provision for credit losses on impaired loans was \$39.4 million for the six months ended April 30, 2026 and increased by \$3.2 million compared with the six months ended April 30, 2025. The increase reflects higher provisions on impaired commercial loans, partially offset by lower provisions on impaired personal and residential mortgage loans.

Second quarter of 2026 compared with first quarter of 2026

Total provision for credit losses of \$26.9 million increased by \$10.4 million compared with the first quarter of 2026, mainly as a result of higher provisions on impaired commercial loans. The provision for credit losses as a percentage of average loans, including those classified as assets held for sale, was 31 basis points for the second quarter of 2026, compared with 18 basis points for the previous quarter.

The provision for credit losses on performing loans was \$1.6 million for the second quarter of 2026 compared with \$2.4 million for the first quarter of 2026. This decrease mainly reflects lower provisions on performing commercial and residential mortgage loans, as well as higher releases on performing personal loans compared to the prior quarter.

The provision for credit losses on impaired loans was \$25.3 million for the second quarter of 2026, and increased by \$11.2 million compared with the first quarter of 2026, mainly due to higher provisions in the commercial loan portfolio.

TABLE 10
PROVISION FOR CREDIT LOSSES

In thousands of dollars, except percentage amounts (Unaudited)	For the three months ended			For the six months ended	
	April 30, 2026	January 31, 2026	April 30, 2025	April 30, 2026	April 30, 2025
Personal loans					
Performing (Stage 1 and 2)	\$ (304)	\$ (154)	\$ 352	\$ (458)	\$ (2,404)
Impaired (Stage 3)	2,300	1,217	1,779	3,517	3,964
	1,996	1,063	2,131	3,059	1,560
Residential mortgage loans					
Performing (Stage 1 and 2)	209	491	1,415	700	(273)
Impaired (Stage 3)	207	403	1,003	610	1,526
	416	894	2,418	1,310	1,253
Commercial loans					
Performing (Stage 1 and 2)	1,665	2,065	505	3,730	(1,667)
Impaired (Stage 3)	22,795	12,481	11,639	35,276	30,722
	24,460	14,546	12,144	39,006	29,055
Total loans					
Performing (Stage 1 and 2)	1,570	2,402	2,272	3,972	(4,344)
Impaired (Stage 3)	25,302	14,101	14,421	39,403	36,212
Provision for credit losses	\$ 26,872	\$ 16,503	\$ 16,693	\$ 43,375	\$ 31,868
As a % of average loans ⁽¹⁾	0.31 %	0.18 %	0.19 %	0.24 %	0.18 %

(1) Amount reported includes loans classified as held for sale in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operation* on the Bank's Consolidated Balance Sheet. Refer to Notes 5 and 9 to the Condensed Interim Consolidated Financial Statements for additional information.

Allowances for credit losses

Allowances for loan losses, including allowances for loans classified within the Assets held for sale line item, amounted to \$168.6 million as at April 30, 2026, a decrease of \$7.7 million compared with October 31, 2025. Allowances for loan losses on performing loans, including those classified as held for sale, totalled \$99.7 million as at April 30, 2026, down \$0.4 million compared with October 31, 2025. Allowances for loan losses on impaired loans, including those classified as held for sale, amounted to \$69.0 million as at April 30, 2026, a decrease of \$7.2 million compared with October 31, 2025, including the impact of the reversal of previously recognized allowances for credit losses on the syndicated loan portfolio that was sold during the quarter pursuant to the Syndicated Loan Transaction.

TABLE 11
ALLOWANCES FOR CREDIT LOSSES (ACL)⁽¹⁾

In thousands of dollars (Unaudited)	As at April 30, 2026	As at October 31, 2025
Allowances for loan losses		
Personal	\$ 17,749	\$ 18,743
Residential mortgages	16,564	16,084
Commercial	134,335	141,503
Total allowances for loan losses	168,648	176,330
Allowances for off-balance sheet exposures losses	12,765	12,491
Total allowances for credit losses	\$ 181,413	\$ 188,821
Allowances for loan losses on performing loans (Stage 1 and 2)	\$ 99,650	\$ 100,091
Allowances for loan losses on impaired loans (Stage 3)	68,998	76,239
Total allowances for loan losses	\$ 168,648	\$ 176,330

(1) Amounts reported include allowances for loans classified as assets held for sale and allowances for off-balance sheet exposures directly associated with assets held for sale on the Bank's Consolidated Balance Sheet as at April 30, 2026. Refer to Notes 5 and 9 to the Condensed Interim Consolidated Financial Statements for additional information.

Impaired loans

Gross impaired loans, including loans classified within the Assets held for sale line item, amounted to \$357.6 million as at April 30, 2026, down \$68.4 million compared with October 31, 2025. The decrease is partly attributable to the Syndicated Loan Transaction, which included the sale of \$47.4 million of gross impaired commercial loans, together with net repayments of impaired commercial loans, partially offset by increases in certain impaired commercial loan positions due to credit migration. Refer to Note 6 to the Condensed Interim Consolidated Financial Statements for additional information.

TABLE 12
IMPAIRED LOANS⁽¹⁾

In thousands of dollars, except percentage amounts (Unaudited)	As at April 30, 2026	As at October 31, 2025
Gross impaired loans (GIL)		
Personal	\$ 3,991	\$ 5,116
Residential mortgages	52,761	56,211
Commercial	300,833	364,616
	\$ 357,585	\$ 425,943
Allowances for loan losses on impaired loans (Stage 3)		
Personal	\$ (1,657)	\$ (2,241)
Residential mortgages	(3,355)	(3,578)
Commercial	(63,986)	(70,420)
	\$ (68,998)	\$ (76,239)
Net impaired loans		
Personal	\$ 2,334	\$ 2,875
Residential mortgages	49,406	52,633
Commercial	236,847	294,196
	\$ 288,587	\$ 349,704
Impaired loans as a % of total loans⁽²⁾		
Gross	1.00 %	1.18 %
Net	0.81 %	0.97 %

(1) Amounts include allowances related to loans classified as assets held for sale on the Bank's Consolidated Balance Sheet as at April 30, 2026. Refer to Notes 5 and 9 to the Condensed Interim Consolidated Financial Statements for additional information.

(2) This is a non-GAAP ratio. Refer to the Non-GAAP Financial and Other Measures section beginning on page 5 for additional information.

MARKET RISK

Market risk is the financial loss that the Bank may incur due to unfavourable fluctuations in the value of financial instruments as a result of changes in the underlying factors used to measure them, such as interest rates, currency exchange rates or equity prices. This risk is inherent to the Bank's financing, investment, trading and asset and liability management (ALM) activities.

The purpose of ALM activities is to control the interest rate risk in the banking book (IRRBB), which corresponds to the potential impact of interest rate movements on the Bank's net interest income (NII) and economic value of equity (EVE). Dynamic management of IRRBB is intended to enhance the Bank's profitability by maximizing NII and EVE, while considering the risk appetite established by the Board.

The table below provides a measure of the sensitivity to changes in interest rates of the Bank as at April 30, 2026. As presented, the effect on the economic value of common shareholders' equity and on net interest income before taxes of a sudden and sustained 1% increase in interest rates was as follows.

TABLE 13
SENSITIVITY ANALYSIS OF THE INTEREST RATE RISK OF THE BANKING BOOK

In thousands of dollars (Unaudited)	As at April 30, 2026		As at October 31, 2025	
	Effect on NII ⁽¹⁾	Effect on EVE ⁽²⁾	Effect on NII ⁽¹⁾	Effect on EVE ⁽²⁾
Change in interest rates				
Increase of 100 basis points	\$ 5,584	\$ (40,944)	\$ 5,681	\$ (31,539)
Decrease of 100 basis points	\$ 509	\$ 44,528	\$ 349	\$ 38,253

(1) Over the next 12 months.

(2) Net of income taxes.

LIQUIDITY AND FUNDING RISK

Liquidity and funding risk is the possibility that the Bank may not be able to gather sufficient cash resources, when required and on reasonable conditions, to meet its financial obligations. Financial obligations include obligations to depositors and suppliers, as well as lending commitments, investments and posting collateral requirements.

The Bank maintains liquidity and funding that is appropriate for the execution of its strategy, with liquidity and funding risk remaining well within its approved limits.

The Bank monitors cash resources daily and ensures that liquidity indicators are within established limits, paying particular attention to deposit and loan maturities, as well as to funding availability and demand when planning financing. A reserve of unencumbered liquid assets that are readily available to face contingencies is maintained and constitutes the Bank's liquidity buffer. This reserve does not factor in the availability of the central bank's emergency liquidity facilities. Requirements are based on scenarios evaluating required liquid assets necessary to cover predetermined rates of withdrawal of wholesale financing and retail deposits over specified periods.

The Bank originates deposits from Personal, Business and Institutional customers, and has access to wholesale financing from diversified sources. Personal deposits are sourced through multiple channels including retail, partnerships and advisors and brokers. Wholesale funding options include loan securitization and the issuance of equity or debt instruments through capital markets. Limits on funding sources are monitored by the Asset-Liability Committee, the Executive Committee and the Board of Directors.

Certain deposits and funding sources that form part of the Bank's Transactions announced on December 2, 2025 have been classified in the Liabilities directly associated with assets held for sale line item on the Bank's Consolidated Balance Sheet. These deposits and funding sources remain fully integrated into the Bank's ongoing liquidity and funding management. These balances continue to be monitored within the Bank's standard liquidity metrics, stress scenarios and funding plans.

The Bank also manages its liquidity to comply with the regulatory liquidity metrics in the OSFI domestic Liquidity Adequacy Requirements (LAR) Guideline. These regulatory metrics include the Liquidity Coverage Ratio (LCR), drawn on the BCBS international Basel III liquidity framework, and the OSFI-designed Net Cumulative Cash Flow (NCCF) supervisory tool. The LCR requires that banks maintain sufficient high-quality liquid assets to meet net short-term financial obligations over a thirty-day period in an acute stress scenario.

The Bank remained compliant with the LAR Guideline throughout the six months ended April 30, 2026.

Regulatory developments concerning liquidity

Changes to the LAR Guideline (2026)

On January 29, 2026, OSFI issued updates to its LAR Guideline for 2026, with corresponding revisions to the Small and Medium-Sized Deposit-Taking Institutions (SMSB) Capital and Liquidity Requirements Guideline, which took effect on May 1, 2026. The revised LAR Guideline introduced clarifications to the classification and liquidity treatment of deposit types, updated the treatment of structured notes, and refined contingent funding obligations. These enhancements strengthen liquidity risk management and maintain alignment with evolving market practices and Basel standards. The Bank is compliant with the updates to the LAR Guideline.

Credit ratings

Personal deposits constitute the most important source of financing for the Bank. The Bank also accesses wholesale markets to obtain financing through securitization and unsecured funding. The Bank's capacity to obtain such financing, especially wholesale funding, is tied to the credit ratings set by rating agencies such as Morningstar DBRS (DBRS) and S&P Global Ratings (S&P). Revisions of the Bank's credit ratings may therefore influence financing operations, as well as other collateral obligations.

Changes to credit ratings could also impact the Bank involvement with other operational banking arrangements. The Bank regularly monitors the impact of a hypothetical downgrade of its credit rating on collateral requirements as part of its liquidity management approach. As at April 30, 2026, additional collateral that would be required to be posted to certain derivative counterparties in the event of a credit rating downgrade was not significant.

Table 14 presents the Bank's credit ratings as established by the rating agencies.

TABLE 14
CREDIT RATINGS

As at May 28, 2026

	DBRS⁽¹⁾	S&P⁽²⁾
Long-term deposits and debt	BBB	BBB
Covered bonds	AA (high)	n/a
Short-term instruments	R-2 (high)	A-2
NVCC Subordinated debt	BB	BB+
NVCC Limited recourse capital notes	BB (low)	BB-
NVCC Preferred Shares	Pfd-4 (high)	BB-
Outlook	Under Review with Positive Implications	CreditWatch- Negative

(1) Each DBRS rating category is appended with one of three rating trends — "Positive," "Stable," "Negative" — in addition to "Under Review." The rating trend helps to give investors an understanding of DBRS's opinion regarding the outlook for the rating in question. However, investors must not assume that a positive or negative trend necessarily indicates that a rating change is imminent.

(2) The S&P rating outlook assesses the potential direction of a long-term credit rating over the intermediate term (typically six months to two years). In determining a rating outlook, consideration is given to any changes in the economic and/or fundamental business conditions. An outlook is not necessarily a precursor of a rating change or future action. The S&P rating outlooks have the following meanings: "Positive" means that a rating may be raised; "Negative" means that a rating may be lowered; "Stable" means that a rating is not likely to change; "Developing" means a rating may be raised or lowered. A "CreditWatch" reflects the potential direction of a credit rating over the near term and is generally associated with a specific event or issue under review. A "CreditWatch-Negative" indicates the possibility of a downgrade once the identified event or uncertainty is resolved.

Contractual maturities of assets and liabilities

The following tables provide remaining contractual maturity profiles of assets and liabilities at their carrying value (e.g., amortized cost or fair value) as at April 30, 2026 and October 31, 2025. Details of contractual maturities and commitments to extend funds are a source of information for the management of liquidity risk and does not represent how the Bank manages its interest rate or its liquidity risk and funding needs. These details form a basis for assessing a behavioural balance sheet with effective maturities to calculate liquidity risk measures. Assets held for sale and liabilities directly associated with assets held for sale on the Consolidated Balance Sheet remain included in these tables and continue to be monitored within the Bank's established liquidity management framework.

TABLE 15
CONTRACTUAL MATURITIES OF ASSETS AND LIABILITIES⁽¹⁾

As at April 30, 2026									
In thousands of dollars (Unaudited)	Term								Total
	0 to 3 months	Over 3 months to 6 months	Over 6 months to 9 months	Over 9 months to 12 months	Over 1 year to 2 years	Over 2 years to 5 years	Over 5 years	No specific maturity	
Assets									
Cash and non-interest-bearing deposits with banks	\$ —	\$ —	\$ —	\$ —	\$ —	\$ —	\$ —	\$ 61,726	\$ 61,726
Interest-bearing deposits with banks	1,115,712	40,000	80,000	—	—	—	—	99,149	1,334,861
Securities	1,418,898	681,338	281,979	200,254	894,259	2,071,200	2,683,020	76,286	8,307,234
Securities purchased under reverse repurchase agreements	2,169,897	701,265	—	—	—	—	—	—	2,871,162
Loans ⁽²⁾									
Personal loans	492	522	404	426	2,893	1,613	274	1,968,449	1,975,073
Residential mortgages	1,040,224	1,149,835	809,172	907,821	3,624,816	7,916,525	32,206	94,712	15,575,311
Commercial loans	2,811,204	1,134,092	1,135,247	1,362,402	2,315,384	4,031,373	473,062	5,049,718	18,312,482
Allowances for loan losses	—	—	—	—	—	—	—	(168,648)	(168,648)
	3,851,920	2,284,449	1,944,823	2,270,649	5,943,093	11,949,511	505,542	6,944,231	35,694,218
Other assets	646	582	679	505	1,465	3,036	—	1,159,646	1,166,559
Total assets	\$8,557,073	\$3,707,634	\$2,307,481	\$2,471,408	\$6,838,817	\$14,023,747	\$3,188,562	\$ 8,341,038	\$49,435,760
Liabilities and equity									
Deposits									
Personal deposits ⁽²⁾	\$2,560,162	\$1,689,828	\$1,823,034	\$1,899,760	\$4,690,916	\$ 3,973,208	\$ 165,062	\$ 4,707,273	\$21,509,243
Business, banks and other deposits ⁽²⁾	189,040	64,526	60,428	43,477	97,190	65,235	2,006	1,005,688	1,527,590
Wholesale deposits	258,166	228,185	—	—	399,844	—	—	—	886,195
Covered bonds	243,775	—	—	251,188	—	—	—	—	494,963
	3,251,143	1,982,539	1,883,462	2,194,425	5,187,950	4,038,443	167,068	5,712,961	24,417,991
Obligations related to securities sold short ⁽³⁾	51,493	83,795	702	46,973	621,715	414,750	1,846,757	7,068	3,073,253
Obligations related to securities sold under repurchase agreements	2,995,952	—	—	—	—	—	—	—	2,995,952
Other liabilities	3,772	3,844	3,886	3,845	26,857	24,712	31,925	1,633,967	1,732,808
Debt related to									
securitization activities ⁽⁴⁾	875,140	837,515	735,458	390,480	2,659,940	7,855,155	791,259	—	14,144,947
Subordinated debt	—	—	—	—	315,485	—	—	—	315,485
Shareholders' equity	—	—	—	—	—	—	—	2,755,324	2,755,324
Total liabilities and equity	\$7,177,500	\$2,907,693	\$2,623,508	\$2,635,723	\$8,811,947	\$12,333,060	\$2,837,009	\$10,109,320	\$49,435,760

(1) Contractual maturity amounts include assets held for sale and liabilities directly associated with assets held for sale on the Bank's Consolidated Balance Sheet as at April 30, 2026. Refer to Note 9 to the Condensed Interim Consolidated Financial Statements for additional information.

(2) Amounts collectible on demand are considered to have no specific maturity.

(3) Amounts are disclosed according to the remaining contractual maturity of the underlying security.

(4) Personal loan securitization cash flows are based on a behavioural prepayment model.

As at October 31, 2021									
In thousands of dollars (Unaudited)	Term								Total
	0 to 3 months	Over 3 months to 6 months	Over 6 months to 9 months	Over 9 months to 12 months	Over 1 year to 2 years	Over 2 years to 5 years	Over 5 years	No specific maturity	
Assets									
Cash and non-interest-bearing deposits with banks	\$ —	\$ —	\$ —	\$ —	\$ —	\$ —	\$ —	\$ 57,769	\$ 57,769
Interest-bearing deposits with banks	1,012,200	—	70,000	40,000	—	—	—	135,550	1,257,750
Securities	703,997	154,462	405,577	233,781	593,878	2,457,109	3,166,373	64,769	7,779,946
Securities purchased under reverse repurchase agreements	3,197,799	809,887	—	—	—	—	—	—	4,007,686
Loans⁽¹⁾									
Personal loans	3,459	321	396	384	1,775	2,187	303	1,966,788	1,975,613
Residential mortgages	901,505	969,424	1,101,939	1,159,647	3,990,685	7,886,796	20,676	101,123	16,131,795
Commercial loans	2,516,059	1,108,088	1,380,852	930,587	3,079,081	3,539,971	789,030	4,563,164	17,906,832
Allowances for loan losses	—	—	—	—	—	—	—	(176,330)	(176,330)
	3,421,023	2,077,833	2,483,187	2,090,618	7,071,541	11,428,954	810,009	6,454,745	35,837,910
Other assets	638	597	634	567	1,797	3,737	—	1,198,665	1,206,635
Total assets	\$ 8,335,657	\$3,042,779	\$2,959,398	\$2,364,966	\$7,667,216	\$13,889,800	\$3,976,382	\$ 7,911,498	\$50,147,696
Liabilities and equity									
Deposits									
Personal deposits ⁽¹⁾	\$ 1,778,773	\$2,080,553	\$2,558,422	\$1,701,097	\$3,726,464	\$ 3,984,224	\$ 172,255	\$ 5,204,903	\$21,206,691
Business, banks and other deposits ⁽¹⁾	92,297	49,717	162,422	63,497	66,960	76,511	2,116	1,139,645	1,653,165
Wholesale deposits	188,239	23,836	—	25,000	—	400,538	—	—	637,613
Covered bonds	—	—	249,579	—	251,546	—	—	—	501,125
	2,059,309	2,154,106	2,970,423	1,789,594	4,044,970	4,461,273	174,371	6,344,548	23,998,594
Obligations related to securities sold short⁽²⁾	263	87,320	25,489	35,816	448,671	730,110	1,953,217	15,526	3,296,412
Obligations related to securities sold under repurchase agreements	3,869,657	—	—	—	—	—	—	—	3,869,657
Other liabilities	3,783	3,773	3,767	3,757	26,535	25,020	39,179	1,611,796	1,717,610
Debt related to securitization activities⁽³⁾	787,416	396,932	888,019	834,143	2,645,097	7,197,817	1,303,276	—	14,052,700
Subordinated debt	—	—	—	—	330,903	—	—	—	330,903
Shareholders' equity	—	—	—	—	—	—	—	2,881,820	2,881,820
Total liabilities and equity	\$ 6,720,428	\$2,642,131	\$3,887,698	\$2,663,310	\$7,496,176	\$12,414,220	\$3,470,043	\$10,853,690	\$50,147,696

(1) Amounts collectible on demand are considered to have no specific maturity.

(2) Amounts are disclosed according to the remaining contractual maturity of the underlying security.

(3) Personal loan securitization cash flows are based on a behavioural prepayment model.

ADDITIONAL FINANCIAL INFORMATION - QUARTERLY RESULTS

TABLE 16

ADDITIONAL FINANCIAL INFORMATION - QUARTERLY RESULTS

In thousands of dollars, except per share amounts (Unaudited)	April 30, 2026	January 31, 2026	October 31, 2025	July 31, 2025	April 30, 2025	January 31, 2025	October 31, 2024	July 31, 2024
Net interest income	\$ 185,026	\$ 194,863	\$ 182,657	\$ 185,879	\$ 182,181	\$ 186,207	\$ 173,878	\$ 180,764
Other income	28,629	56,692	62,053	60,930	60,335	63,430	76,893	75,739
Total revenue	213,655	251,555	244,710	246,809	242,516	249,637	250,771	256,503
Provision for credit losses	26,872	16,503	18,039	11,128	16,693	15,175	10,440	16,283
Non-interest expenses	219,492	267,374	188,840	189,759	184,518	186,973	194,458	200,239
Income (loss) before income taxes	(32,709)	(32,322)	37,831	45,922	41,305	47,489	45,873	39,981
Income taxes (recovery)	(12,122)	(11,825)	6,350	8,459	8,976	8,888	5,212	5,877
Net income (loss)	\$ (20,587)	\$ (20,497)	\$ 31,481	\$ 37,463	\$ 32,329	\$ 38,601	\$ 40,661	\$ 34,104
Earnings (loss) per share								
Basic	\$ (0.50)	\$ (0.58)	\$ 0.66	\$ 0.73	\$ 0.69	\$ 0.76	\$ 0.88	\$ 0.67
Diluted	\$ (0.50)	\$ (0.58)	\$ 0.66	\$ 0.73	\$ 0.69	\$ 0.76	\$ 0.88	\$ 0.67

CORPORATE GOVERNANCE AND CHANGES TO INTERNAL CONTROL OVER FINANCIAL REPORTING

Internal Control over Financial Reporting (ICFR) is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements in accordance with IFRS. During the second quarter ended April 30, 2026, there have been no changes to ICFR that affected materially or are reasonably likely to materially affect ICFR.

The Board of Directors of Laurentian Bank of Canada approved this document prior to its release.

CRITICAL ACCOUNTING POLICIES AND ESTIMATES

The material accounting policies followed by the Bank are outlined in Notes 2 and 3 to the 2025 Annual Consolidated Financial Statements. The Condensed Interim Consolidated Financial Statements for the second quarter ended April 30, 2026 have been prepared in accordance with these accounting policies.

Some of these accounting policies are deemed critical as they require management to apply judgment in order to make particularly significant estimates that, by their very nature, involve uncertainties. Changes in these estimates could materially affect the Bank's Consolidated Financial Statements. Refer to the section "Critical Accounting Policies and Estimates" of the Bank's 2025 Annual Report, as well as to Notes 2 and 3 to the 2025 Annual Consolidated Financial Statements, for additional information.

The accounting policies described in Note 3 to the Annual Consolidated Financial Statements have been applied consistently to all periods presented in the Condensed Interim Consolidated Financial Statements for the second quarter ended April 30, 2026. An exception relates to the accounting policy for non-current assets (or disposal groups) held for sale, described below, which was applied in the current period following the announcement of the Transactions on December 2, 2025, in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*.

Assets and liabilities held for sale

The Bank classifies non-current assets and disposal groups as held for sale when their carrying amounts are expected to be recovered principally through a sale transaction rather than through continuing use. Classification as held for sale requires that the asset or disposal group be available for immediate sale in its present condition, that a sale be highly probable, that management be committed to a plan to sell, and that an active program to locate a buyer and complete the plan be in place. With limited exceptions permitted by IFRS 5 completion of the sale must be expected within one year.

Once classified as held for sale, assets and disposal groups are measured at the lower of their carrying amount and fair value less costs to sell. The measurement requirements of IFRS 5 apply only to non-current assets within the disposal group that are within the scope of the standard. Financial assets and liabilities within the disposal group continue to be recognized and measured in accordance with IFRS 9 *Financial Instruments*, as IFRS 5 does not modify the recognition or measurement requirements applicable to financial instruments. Depreciation and amortization of non-current assets cease from the date of classification. Moreover, impairment losses arising on initial or subsequent measurement to fair value less costs to sell are recognized in profit or loss, with any such loss allocated first to goodwill and then to the non-current assets within the disposal group. Any subsequent increase in fair value less costs to sell is recognized to the extent of previously recorded impairment losses. Assets and liabilities classified as held for sale are presented separately in the Bank's Consolidated Balance Sheet.

Critical judgments in the classification of assets and liabilities held for sale

Management must exercise significant judgment in determining whether the criteria for classification as held for sale have been met. This judgment includes assessing whether a sale is highly probable, which depends on the existence of appropriate approvals, binding agreements, customary closing conditions, and the likelihood that these conditions will be satisfied within the expected timeframe. Management also evaluates whether the assets or disposal group are available for immediate sale in their current condition and whether the Bank is committed to a plan to sell and has initiated the necessary actions to complete the transaction. The expected timing of completion, including regulatory and shareholder approval processes, forms an important part of this assessment. Management reassesses these factors on a continuous basis to confirm that held-for-sale classification remains appropriate up to each reporting date.

As at April 30, 2026, management concluded that the assets and liabilities sold to National Bank pursuant to the Retail/SME Transaction meet the criteria for classification as a disposal group held for sale. Further details are provided in Note 9 of the Condensed Interim Consolidated Financial Statements for the second quarter ended April 30, 2026.

Economic conditions impact on judgments, estimates and assumptions

The preparation of financial information requires the use of informed judgments and estimates, which are inherently influenced by expectations of future economic conditions. The current macroeconomic environment remains highly uncertain, shaped by persistent geopolitical tensions and increased volatility across global financial markets. In particular, evolving U.S. political dynamics and the potential implementation of new or heightened trade barriers continue to challenge economic forecasting and the assumptions underpinning financial reporting. These factors contribute to an uncertain outlook for both the Canadian and U.S. economies and may materially impact the Bank's business activities, credit performance, and provisioning estimates. The Bank remains vigilant in monitoring these developments and adjusting its forward-looking assumptions accordingly. Refer to the section "Critical Accounting Policies and Estimations" of the Bank's 2025 Annual Report, as well as to Notes 2 and 3 to the 2025 Annual Consolidated Financial Statements.

FUTURE CHANGES TO ACCOUNTING POLICIES

The IASB has issued new standards and amendments to existing standards which are applicable for the Bank in various annual periods beginning on November 1, 2026. There have been no significant updates to the future accounting policy changes disclosed in Note 4 of the Annual Consolidated Financial Statements for the year ended October 31, 2025.

GLOSSARY

GENERAL TERMS

Allowances for credit losses (ACL) represent the Bank's estimate of expected credit losses (ECL) at the balance sheet date. ECLs are a probability-weighted estimate of credit losses over the remaining expected life of the financial instrument. These allowances are primarily related to loans and off-balance sheet exposures, including letters of guarantee and certain undrawn amounts under approved credit facilities.

Alt-A mortgages represent a classification of mortgages where borrowers have a clean credit history consistent with prime lending criteria. However, characteristics about the mortgage such as loan to value, loan documentation, occupancy status or property type, may cause the mortgage not to qualify under standard underwriting programs.

Basis point represents one one-hundredth of a percentage point.

Derivatives are contracts whose value is "derived" from movements in interest or foreign exchange rates, or equity or commodity prices. Derivatives allow for the transfer, modification or reduction of current or expected risks from changes in rates and prices.

Earnings per share (EPS) is calculated by dividing net income after deduction of preferred dividends, by the average number of common shares outstanding. Diluted EPS is calculated by adjusting the number of shares outstanding for possible conversions of financial instruments into common shares.

Economic value of equity (EVE) represents the present value of the Bank's net assets.

Effective interest rate represents the discount rate applied to estimated future cash payments or receipts over the expected life of the financial instrument to arrive at the net carrying amount of the financial asset or liability.

Fair value is the estimated price that would be received or paid in an orderly transaction between market participants at the measurement date.

Hedging is a risk management technique used to neutralize or manage interest rate, foreign currency, or credit exposures arising from normal banking activities by taking positions that are expected to react to market conditions in an offsetting manner.

Impaired loans consist of loans where one or more events that have a detrimental impact on the estimated future cash flows of a loan have occurred or when contractual payments are 90 days past due.

Net interest income is comprised of earnings on assets, such as loans and securities, including interest and dividend income, less interest expense paid on liabilities, such as deposits.

Notional amount refers to the principal used to calculate interest and other payments under derivative contracts.

Off-balance sheet financial instruments represent a variety of financial arrangements offered to clients, which include for the Bank derivatives, credit commitments and guarantees, and other indemnifications.

Options are contractual agreements between two parties in which the writer of the option grants the buyer the right, but not the obligation, to either buy or sell, at or by a specified date, a specific amount of a financial instrument at a price agreed upon when the agreement is entered into. The writer receives a premium for selling this instrument.

Provision for credit losses (PCL) is an amount charged or credited to income to adjust the allowances for credit losses to the appropriate level, for both performing and impaired financial assets.

Securities purchased under reverse repurchase agreements and obligations related to securities sold under repurchase agreements are short-term purchases of securities under agreements to resell as well as short-term sales of securities under agreements to repurchase at predetermined prices and dates. Given the low risk transfer associated with these purchases and sales, these agreements are treated as collateralized lending.

Swaps are contractual agreements between two parties to exchange a series of cash flows for a specified period of time. The various swap agreements that the Bank enters into are interest rate swaps, cross-currency swaps, foreign exchange swaps and total return swaps.

SUPPLEMENTARY FINANCIAL MEASURES

Allowances for credit losses as a % of total loans is defined as allowances for credit losses as a percentage of total loans, including allowances for credit losses and loans classified as assets held for sale.

Assets under administration mostly refers to assets related to registered and non-registered investment accounts, clients' brokerage assets, mutual funds and loans administered by the Bank that are beneficially owned by clients and therefore not reported on the balance sheet of the Bank.

Average earning assets include the Bank's loans net of allowances, as well as interest-bearing deposits with other banks, securities, securities purchased under reverse repurchase agreements used in the Bank's treasury operations and derivatives (including loans classified as assets held for sale), but exclude average earning assets related to trading activities. The averages are based on the daily balances for the period.

Dividend payout ratio is defined as dividends declared on common shares as a percentage of net income available to common shareholders.

Dividend yield is defined as dividends declared per common share divided by the closing common share price.

Efficiency ratio is a measure of productivity and cost control and is defined as non-interest expenses as a percentage of total revenue.

Interest-bearing liabilities include the Bank's deposits, debt related to securitization activities and subordinated debt used in the Bank's treasury operations and derivatives (including deposits and derivatives classified as liabilities directly associated with assets held for sale), but exclude interest-bearing liabilities related to trading activities.

Liquid assets consist of cash, deposits with banks, securities and securities purchased under reverse repurchase agreements.

Net interest margin is the ratio of net interest income to average earning assets (based on the daily balances for the period), expressed as a percentage or basis points.

Operating leverage is a measure of efficiency and is the difference between total revenue and non-interest expenses growth rates.

Price / earnings ratio is defined as closing common share price divided by basic earnings per share.

Provision for credit losses as a % of average loans is defined as provision for credit losses as a percentage of average loans, including loans classified as assets held for sale. For average loans, including loans classified as assets held for sale, the averages are based on the daily balances for the period.

RISK AND CAPITAL TERMS

Basel II is the second of the Basel Accords, which are recommendations on banking laws and regulations issued by the Basel Committee on Banking Supervision (BCBS). The purpose of Basel II is to create an international standard that banking regulators can use when creating regulations about how much capital banks need to put aside to guard against the types of financial and operational risks banks face. The Basel II Accord also introduced the Advanced Internal-Ratings Based (AIRB) approach to credit risk.

Basel III is a comprehensive set of reform measures, developed by the BCBS, to strengthen the Basel II Accord as well as the supervision and risk management of the banking sector. These measures also introduced liquidity adequacy requirements.

Capital ratios are defined as either Common Equity Tier 1 capital, Tier 1 capital or Total capital divided by risk-weighted assets.

Common Equity Tier 1 (CET1) capital represents, under Basel III, more permanent forms of capital, and primarily consists of common shareholders' equity and accumulated other comprehensive income, less a deduction for software and other intangible assets, net pension assets, cash flow hedge reserve and certain other deductions prescribed by OSFI.

Credit and counterparty risk is the risk of a financial loss occurring if a counterparty (including a debtor, an issuer or a guarantor) in a transaction fails to fully honour its contractual or financial obligation towards the Bank.

Exposure at default (EAD) is an amount expected to be owed by an obligor at the time of default.

Leverage ratio is comprised of Tier 1 capital, divided by unweighted on-balance sheet assets and off-balance sheet commitments, derivatives and securities financing transactions.

Liquidity coverage ratio (LCR) measures the sufficiency of high-quality liquid assets available to meet net short-term financial obligations over a thirty-day period in an acute stress scenario.

Loss given default (LGD) is an estimated percentage of EAD that is not expected to be recovered during the collections and recovery process.

Operational risk is the risk of loss or harm resulting from a failure ascribable to human resources, inadequate or failed internal processes or technology and systems, or from external events including legal risk but excluding regulatory, strategic and reputational risks.

Probability of default (PD) is an estimated percentage that represents the likelihood of default within a given time period of an obligor for a specific rating grade or for a specific pool of exposure.

Risk-weighted assets are assets calculated by applying a risk-weight factor to on and off-balance sheet exposure. The Bank uses standardized risk-weight factors as stipulated by OSFI, based on the guidelines developed by the Bank for International Settlement (BIS).

Tier 1 capital primarily consists of CET1 capital and preferred shares.

Total capital includes Tier 1 and Tier 2 capital, net of certain deductions. Tier 2 capital is primarily comprised of subordinated debt and the eligible portion of collective allowances for loan losses.